Block-2

EVOLUTION AND CONCEPT OF CSR

BLOCK 2 EVOLUTION AND CONCEPT OF CSR

This block traces the evolution of Corporate Social Responsibility, where it explains how stakeholders are the focus instead of just the shareholders. It explains how and why CSR has to be integrated into management practices. Further, it draws linkages between Business Ethics and CSR as both of these are intertwined.

Unit 5 gives an overview of Corporate Social Responsibility. Then shareholder to stakeholder relationship has been explained in detail. The stakeholder view suggested that the prime goal of CSR is to create value for stakeholders. The concept of Stakeholder Relation to the firm has been touched upon as the managers should evaluate core competencies of the organization to determine which stakeholders they should support. Several case studies have also been discussed in the unit so that future managers can relate to the practical world.

Unit 6 focuses on integrating CSR into management practices, as integrating CSR into the management practices may increase the importance of ethical values as integral part of business strategy. Several approaches of integrating CSR with business strategy have been discussed in this unit such as cost and risk reduction, gaining competitive advantage, developing reputation and legitimacy, drawing positive outcomes through synergistic value creation and creating value for multiple stakeholders.

Unit 7 gives an overview of importance of CSR in international business. This unit explains this relationship between Sustainable Development Goals (SDGs) & CSR in a very elaborate manner. Further, it focuses on the aspect that CSR helps in reducing conflicts and promoting harmony in affected zones. CSR and social activism are two sides of the same coin and some of the dominant forms of such activism are Consumer activism, CSO activism, Shareholder activism & Employee activism have been explained in the unit.

Unit 8 explains various topics to draw linkages between Business Ethics and CSR. Meaning of business ethics and different perspectives of business ethics have been discussed. CSR is not just about initiatives. It requires responsibility on the part of business to understand and cater to the needs of the employees, consumers, suppliers and investors. So, the relationship between CSR and Business Ethics has been elaborated upon for better understanding of future managers.

UNIT 5 CSR : AN OVERVIEW

Objectives

After reading this unit, you should be able to:

- Give an overview of CSR and its relationship with Shareholders
- Examine the Stakeholder relation with business
- Explore the relation of Government, Customers, Civil Society Organizations with Business Responsibility
- Understand Corporate Citizenship and Business Responsibility

Structure

5.1 INTRODUCTION

Corporate social responsibility has been a challenge to business and practitioners of business. It is a normative challenge for corporations. Corporations should be responsible to society as a whole and to the segments of society with each stakeholder. The diverse group of stakeholders and corporations' responsibility towards all these entities is very complex. Initially, business relation was concentrated with the shareholders but with expansion of business stakeholder community gained prominence. A profit driven business corporations started serious engagements with entities or groups who affect or get affected by business. Managers of business entities should understand and communicate with stakeholders for the benefit of business and stakeholders should acknowledge and be responsible to such initiatives.

5.2 CSR: AN OVERVIEW

Corporations have been the means to social and economic ends. Material wellbeing has been made possible in significant way because businesses were established to make way to create enormous wealth. But there have been side effects and unwanted consequences. Corporate Social Responsibility can be a way to fight these side effects. Despite it corporate responsibility remains a challenge to business and executives to do good and to do the right thing in the right way. It is a normative challenge arguing that corporations should be responsible to society as a whole and to those segments of society with which each firm engages. For more than 120 years, the dynamism that has generated the discussion of corporate responsibility is the combined effort of various segments of the public- employees, consumers, investors, environmentalist and to urge change in corporate behavior. Whether to end the unsafe practices in the Bangladesh Garment Industry, or to organize labor unrest in the automobile industry, to stop dumping waste in the river, to block a nuclear power plant, or to protect personal privacy in today's social media world. Corporate responsibility has been a challenge to prevailing ways of doing things decade after decade producing social conflict that has often been met with resistance, negotiation, dialogue, and on agreement (Carroll et al, 2012).

Many businesses have demonstrated awareness and willingness to address those responsibilities through a wide range of policies and programs. Notwithstanding its caveats, corporations has become defining institution in the economic transformation of society that began with the industrial revolution and continues today(Carroll, p.12). The factory system in Great Britain and America and issues related to the employment of women and children led to the first burst of reform or welfare movement. The industrial betterment and welfare movement set the motion for CSR in Europe and America, Concern for employees and philanthropy were believed to be the initial CSR strategy of corporations. Early practices of CSR illustrated business people's thinking and doing something about them within the context of their businesses. Profit maximization phase started the development of social responsibility, trusteeship phase made the corporate managers responsible towards claims from customers, employees, and the community. Corporate contributions or philanthropy assumed a central role in the development of CSR, though such contributions were seen in poor light.

A major change in the CSR goal came with the stakeholder concern. It had the most significant impact in the business and society relation. The purpose of the firm is to create wealth or value for its stakeholders by converting their stakes into goods and services.

Activity1

Discuss major changes in business strategies from the industrial welfare policies till the incorporation of the stakeholder demands.

....

....

....

....

5.3 CSR FROM A SHAREHOLDER TO STAKEHOLDER PRIMACY

Corporations have power and power entails responsibility, and this responsibility is beyond the economic and legal framework. Business started off with a profit driven mind set primarily based on the shareholder's resources. The concept of social responsibility though emphasized responsibility for business facing social problems but did not get much support from supporters of shareholder primacy. Early Shareholder primacy view was clearly against social responsibility of any form except to make money for their stockholders. Others were vehemently against corporate welfare. Many economists believed that market, instead of managers should have control over the allocation of resources and returns, and not the managers. The expected role of managers is to serve the interests of the shareholders. To make the shareholder primacy view flexible, Peter F. Drucker (1954), a management expert stressed the idea that profitability and responsibility were compatible, and the prime challenge is to convert social problem into economic opportunities, economic benefit into productive capacity, into human competence.

Today, it is accepted that under certain conditions the satisfaction of social interests contributes to maximizing shareholder value and many large corporations pay attention to CSR. Managing and governing a company towards maximization of shareholder value is not only to enrich the shareholders but also achieve a better economic performance of the whole system.

In practice, shareholder value maximization reflects short-term profits such as a reduction in personnel expenses, rather than long-term profitability. Also, in the long run economic success cannot be achieved with shareholder interests but also those of other competing entities, like employees, customers, suppliers, local communities, and others who have stakes with the companies. If a company is just concentrating on shareholder's interests, it is not always best for the company.

As against the shareholder predominance stakeholder view suggested that the prime goal of CSR is to create value for stakeholders. Stakeholder concept provided a new outlook towards strategic management. Though stakeholder as a concept was first used in 1963, at the Stanford Research Institute, but the concept of constituencies existed before (Freeman, 1984). The purpose of the firm is connected to the interests of different individuals or groups who affect or are affected by the activities of the firm. It maximizes stakeholder's contribution rather than maximizing the shareholder value. Here managerial duties are wider than management's fiduciary duties towards shareholders. Business has expanded and so its partners, relations, and alliances. Business not only impacts its immediate beneficiaries but also those who have or may not have direct engagement with it. Stakeholder perspective of business is very clear in addressing concrete interests and practices and visualizing specific responsibilities to specific group of people affected by business. After all one cannot deny the fact that business's progress is very much dependent on stakeholders and same is also true for the stakeholder community. There is a possibility that balancing stakeholder interest abandons an objective basis for evaluating business activities. That is not the case because every stakeholder is concerned about the economic growth of business, and their future depends on it. To some, Stakeholder representation in corporate decision-making has difficulties in implementation and justification. Though it is claimed that all stakeholders not just the shareholders have voice in corporate governance but recognizing such claims might affect the economy. Broadly speaking, this may not be the case because if the stakeholders are made aware about the corporate governance system of a corporation probably, they can contribute in whatever way they can. After all its benefits are reaped by both. Stakeholder perspective paved the way for the inclusive character of CSR, which further expanded and took a socially encompassing nature.

Activity 2

Explain the socially encompassing nature of CSR.

....

....

....

....

....

5.4 STAKEHOLDER RELATION TO THE FIRM

Corporations benefit when it adopts discretionary policies towards its stakeholders. This creates value for all its stakeholders. Windsor (2006) emphasizes that all forms of discretionary CSR represent a wealth transfer away from investors to society. The prime objective for the managers is to seek to maximize the long-term market value of the firm. All forms of discretionary CSR emphasize wealth transfer from investors to society. Here, Windsor takes a stand that ethical responsibility and economic responsibility does not go hand in hand. McWilliams and Siegel (2001) further stated that firms that do CSR are likely to bear higher costs, and earn competitive disadvantage, as against those firms who abstain from it. That is why firms should offer that level of CSR for which the increased revenue equals the higher cost. The resources provided by CSR shows the social cost curve intersecting with social benefit curve. So, if a firm attracts more sales, more commitments, and competent employees because of the reputation effects of their CSR expenditure, then that is seen as a justification for the social investment.

CSR is not a mandatory activity, and it is purely done in a voluntary manner. Management of a firm should make social investment decisions based on the core values and objectives of the organizations. Social investment decisions are based on the core values and objectives of the organizations. A firm is not going to engage in any philanthropy or social initiatives because it is inconsistent with its core values. Such firms even if it have resources would not assist any firms because it is inconsistent with its social roles. In firm managers play a pivotal role in investing corporate assets. Essentially, managers have the discretionary power to invest in social resources. But they face problem of relatively few resources to allocate across a wide range of possible investments. The question here is, whether stakeholder approach can solve the problem in allocation of resources. When CSR is used from a stakeholder perspective then two extreme positions can be possible? Stakeholders can use their power positively to make the firm achieve its goal or negatively prevent the firm from achieving its objectives.

Stakeholders' interests are of intrinsic value to firm, but this will not solve the allocation problem. It is impossible for firms to respond to all needs of their stakeholders. Though there is little research on how the economic surplus generated by the firms can be allocated to the stakeholders. It's been more than 20 years since, Hosseni and Brenner's (1992) attempt to apply Saaty's Analytic Hierarchy Process to prioritizing or weighing competing claims of stakeholders. For instance, better terms for creditors and higher salaries for employees means impact on the shareholder's return. Again, better terms for suppliers or distributors, may mean higher prices for consumers.

Suppose there are large number of stakeholders who could be potential beneficiaries of such investments, the problem become extreme. Suppose a pharmacy giant changes prices of drugs to help AIDS patients in Botswana, it thereby reduces its ability to reprice drugs to equally deserving victims in other Sub-Saharan countries. Stakeholders according to the discretionary CSR perspective are consistent with community norms. Here community norms and law provide guidance concerning who may be considered a stakeholder of a firm and may even treat certain parties as stakeholders. No one can be considered as stakeholder if doing so would violate a norm. In between mandatory and prohibited stakeholder considerations is a domain of discretion in which managers are free to treat someone as a stakeholder, even though it is not related to the organization. A company may consider cancer victims as stakeholders even though they are not customers of the firm and have no other connection to the firm. Though discretion is a large zone, it does not follow that an organization should choose any stakeholders randomly. Instead, a firm should decide based on its core values, combined with an assessment of its core competencies.

If a firm is good at improving and extending human health, then its social investments should correlate to those values. Then the managers should evaluate core competencies of the organization to determine which stakeholders they should support by discretionary CSR. Further, firms can define core competencies in terms of attributes that can give a firm a comparative advantage (Prahalad and Hamel, 1990). Firms have unique capability that allows it to respond to a social need more effectively than others. Core competencies are defined in terms of a particular social need. For example, drug companies have core competencies to reduce the effect of disease it is competent to deal. Similarly, a company having a capacity to deal with disaster may immediately act upon it, or a company into bottling water may supply fresh water in areas hit by natural disaster.

Activity 3

Identify the most appropriate way to understand stakeholders 'relation to the firm?

....

....

....

....

....

....

5.5 STAKEHOLDERS AND CORPORATE SOCIAL RESPONSIBILITY

As business expanded stakeholders have become strong drivers of CSR. Edward Freeman came up with the idea of stakeholder in 1984, a new conceptual framework in business management. Afterwards this framework was clarified and went through some modifications. The stakeholder perspective shares the same convictions as the shareholder perspective principles of market economy and democracy. But they are different in several grounds. According to the stakeholder perspective the purpose of the firm is connected to interests of individuals and groups who are positively or negatively affected by it. Corporations should be managed for the benefit of its stakeholders, managers, its customers, suppliers, owners, employees, local communities, media, government and civil societies, environment etc. These stakeholders may sometimes force the corporations to embrace CSR practices. Here we will be considering few stakeholders adopting CSR practices as firm's demand and other stakeholder's necessity.

Customers and Business Responsibility

Ethical consumerism is the personal consumption pattern made by consumers based on human rights, social justices, the environment, or animal welfare. Earlier, consumers were just happy with the product not about the quality. As quality became a huge concern, consumers started getting involved with business. Not just quality, customers have, became conscious about the production process of the product, working condition, wage and benefit of the workers etc. Customers are demanding more from business corporations and not just the product. Consumers consider corporate social responsibility in their purchase and consumption behaviors. Consumers care about issues of corporate responsibility. This impacts their purchase and consumption pattern, and in turn provides incentives for companies to be socially and environmentally responsible. Consumer has some authority in highly competitive markets. This is consumer sovereignty. The domain of consumer sovereignty could extend beyond the characteristics of the product to include corporate responsibility practices of the producer. In South Africa during apartheid there are evidence of consumers boycotting South African products. There was immense pressure on several organizations to close their chapters in South Africa. Barclays Bank one of the largest Bank in South Africa was forced to close its office. Similar evidence was available in America customers came out openly against the Vietnam War. In the late 1960s, customers boycotted products of Dow Chemical's because of Dow's manufacture of napalm. Though this act didn't end the Vietnam War, but Dow discontinued production of napalm.

Greenpeace, an international NGO boycott against Shell Petroleum over its oil spill in the Atlantic Ocean led to decline in sales of product of the company. Shell's problem was compounded by public reactions to environmental harm because of its operation in Oganiland, Nigeria. Expressions of positive intention is not always an extensive practice of ethical consumerism. A 2004 European study found that 75% of respondents indicating that they would modify purchase because of social and environmental concern. But only 3 % modified their purchases and only 10-12% made any effort to purchase environment friendly products. Rest continued with their regular purchases without any concern for environmental concern. Even though Consumer consciousness is on the rise, but socially oriented consumers may amount to only 10 percent of the market (Schwartz and Gibb, 1999). However, many people still do some of their purchasing based on the firm's reputation.

What about marketer's response?

Several firms have established their core policies on ethical values. Firms like Ben and Jerry (specialized in ice cream) and Body Shop (cosmetics) are founded on Ethical consumerism, but they are relatively small companies which were later acquired by large companies. Ethical branding is a growing activity with companies either developing brands by emphasizing ethical values as brand meaning or differentiating existing brands by emphasizing ethical brands as an important but not necessarily central part of brand meaning.

Companies who stress on ethical branding are Innocent Drinks, Toyota Prius. Toyota's first electric hybrid car known as Toyota Prius became a success. It was introduced in 1997 in Japan and later entered the US market. It became Toyota's third best-selling vehicle.

Ethical branding differentiates by emphasizing ethical values followed by firms. For e.g., Co-op Food a grocery retailer a part of the Co-operative group in U.K retail products adhering to Fair trade norms. But now it is facing a tough competition from other retailing brands who are following the same strategy. Mark and Spencer, another retailing giant adopted Fair trade rules and started selling Fair trade T-shirts, socks and jeans in 2006 (Rigby,2006). But from 2007 it became U.K greenest retailer and pledged to make the group carbon neutral and eliminate all waste to landfill by 2012 (Rigby and Harvey, 2007).

Government and Business Responsibility

Corporate Social responsibility is an alternative to government setting rules and regulations. Governments have been playing an important role in encouraging business to adopt CSR practices. CSR is embedded in business-government and society relation.

There are several ways by which governments can promote CSR. Mostly, the government uses endorsements, exhortations, and partnership as tools to engage with business organizations.

Governments can encourage CSR to solve public policy issues, like unemployment, providing vocational training, dealing with mental illness and social exclusion. Even education and health issues are dealt with business assistance. In countries like UK, during Tony Blair's Labour Government encouraged business participation in solving important public policy issues. In fact, creation of the position of Minister for CSR within the UK Department of Trade and Industry a unique step to establish CSR by government.

Governments can facilitate CSR by setting a framework to guide business behavior. It can be done by establishing code of conduct which are non-binding in nature. Governments can initiate CSR as a tool to create mass employment. In UK and Australia governments encouraged CSR as a response to unemployment and created public policies which encouraged companies to participate by providing work experience and training subsidies, and support for the processing of trainees and design and support for qualification systems which companies could use in their own employment decisions.

Government facilitating CSR is also evident in India, probably nothing at the level found in the developed world. Trends by the Government for facilitating CSR in India in the private sector is evident but it has not grown fully. The force behind this trend comes from both internal and external factors. Some of the government driven CSR initiatives are due to globalization. Multilateral organizations have found the national commitments on the Multilateral Development Goals as a platform through which initiatives emerged. Even many state governments in India have encouraged public-private partnership for development of the state. Government interventions in the form of public-private partnership in education, specifically in IT education is remarkable. Government- business partnership for development in several cities in India, like Bengaluru, Karnataka to revamp the civic facilities and other public-services are examples of Government initiated CSR. There are governance challenges at the institutional level. This may be due to weak financial position, lack of accountability to consumer.

Some partnership between corporations and government is still working in the IT industry. It is known as the Mission 2007. The main partners are NASSCOM Foundation, Microsoft Corporation India, and the International Crops Research Institute for the Semi- Arid Tropics (ICRISAT). It is a partnership of 180 partners comprising of governments, civil society, and industry set up in 2004. The aim of this partnership is to provide IT skills and services at the individual and societal levels. It also aids, with initiatives such as micro credit, disaster management and security (Mitra, 2007).

NGOs or Civil Society organizations and Business Responsibility

With Globalization there has been a tremendous growth of CSR reflecting governance issues. Economic globalization has created a structural imbalance between the size and power of global firms and markets and the capacity and willingness and ability of governments to regulate them. Transnational corporations appear to wield power without responsibility. They are often as powerful as states and yet accountable. These entities cannot replace the state, but they have created new mechanisms of business regulations. NGOs have stepped into the regulatory vacuum created by the ineffectiveness of both national governments and international institutions to regulate MNCs by forging alliances with consumers, institutional investors, and companies themselves (Newell,2000). These alliances cannot replace the role of the state but has created alternative mechanisms of business regulations. These has given rise to global private governance, which can be situated in the shortcomings of international business regulations. For example, Friends of the Earth, an Environmental NGO suggested the creation of an international forest certification regime under the International Tropical Timber organization (ITTO). When the British Government made such a suggestion at meeting of the ITTO in 1989, it was bitterly attacked by timber-exporting countries. These countries argued that similar certification scheme does not exist for the non-tropical countries, and such a scheme represented both an on-tariff barrier to trade. Hence, the British proposal was taken off the agenda. At times regulatory schemes by government may remain suggestive rather than mandatory.

Growth of private regulation of global firms is a direct outgrowth of the lack of effective regulation of global firms. It is a direct result of the lack of effective regulation of global firms at the international level. The regulation of transnational firms was dropped from the agenda by UN- related initiatives i.e Agenda 21. It refused to recommend the creation of global codes of conduct for multinational corporation (MNCs). Similarly, the Commission on International Investment and Transnational Corporation was unable to agree on a code of conduct for global firms due to conflict between developed and under developed countries. Because these instruments are weak and failed to make any impact and that is why NGOs have begun to target with the MNCs with vigor. Many NGOs have actively campaigned for the inclusion of labor, human rights, and environmental standards in trade agreements.

In India recognizing the role of NGOs in development goes back to the First Five-year plan. Only, from the seventh plan ((1985-90) this was heightened. The voluntary sector found separate space for NGOs in the Plan document. In fact, the Eight Plan (1992-97) called for a collaborative relationship between government and NGOs.

NGOs in India have been leveraging for change especially after liberalization. Though NGOs adopt both confrontation and collaboration to engage with business, but Its confrontationist approach is an active way to deal with crisis in business. Such confrontation impacts corporate action. Civil society had formidable engagements to deal with issues generated by business and the state. These engagements can take place based on- the expansive scope of issues engulfing the state and the corporates, the skillful leveraging of national and international networks to achieve the goals. NGOs confrontationist approach helps to fight for rights-based issues.

Few cases will examine NGOs confrontationist role-

Case study 1

Chilka prawn culture fisheries cases- In 1986, the government in Orissa signed a deal with Tata Aquatic Farms Ltd to lease 1400 hectares of land in Chilka for prawn culture in which the government had a 10 per cent share. Fisherman perceived this gesture as a threat to their traditional fishing techniques. As per the deal the property rights accorded to the corporates for fishing was also perceived to be threat to the traditional entitlements of the fishermen to grazing grounds for fish.

On the other side, the corporates were forming hopes of employment generation and a market for their products. But Chilka being a reserved wetland and therefore not open for lease to any individual or company by the government. Civil Society protest the corporate and the state inadequacies sat heavily on the corporate partner as well (Source: Mohanty in Mira Mitra, p.100).

Case study 2

Centre for Science and Environment (CSE), an Indian NGO in 2003 published a report against Coca-Cola and Pepsi beverages. The report provided evidence of the presence of pesticides, to a level exceeding European standards in a sample of a dozen Coca-Cola and PepsiCo beverages sold in India. With that evidence at hand, the CSE called on the Indian government to implement legally enforceable water standards. The report gained ample public and media attention, resulting in almost immediate effects on Coca-Cola revenues. The main allegation was that it sold products containing unacceptable levels of pesticides, it extracted large amounts of groundwater and it had polluted water sources.

Indian government undertook several investigations. The tests found the presence of pesticides that failed to meet European standards, but they were still considered safe under local standards. Therefore, it was concluded that Coca-Cola had not violated any national laws. However, the Indian government acknowledged the need to adopt appropriate and enforceable standards for carbonated beverages.

In 2006, after almost three years of ongoing allegations, the CSE published its second test on Coca Cola drinks, also resulting in a high content of pesticide residues times higher than European Union standards, which were proposed by the Bureau of Indian Standards to be implemented in India as well. CSE published this test to prove that nothing had changed, alleging that the stricter standards for carbonated drinks and other beverages had either been lost in committees or blocked by powerful interests in the government. Finally, in 2008 an independent study undertaken by The Energy and Resources Institute (TERI) ended the long-standing allegations by concluding that the water used in Coca-Cola in India is free of pesticides. However, because the institute did not test the final product, other ingredients could have contained pesticides. This had a bigger implication, public reaction was very severe, especially in the U.S.A. as a result, the company suffered huge financial losses (Cristina A.et al. 2012).

Shareholders and Corporate Social Responsibility

Shareholder responsibility has till date received limited academic focus. Now the primary focus is on the direct model of individual share ownership, to the peculiarities of the present-day assets owned by managers. With high levels of institutional ownership concentration. The question of what it means to be a responsible shareholder and to whom shareholders are responsible are significant because it is only with this understanding that a more sustainable financial system can be created.

Shareholders have evolved from being single individuals to groups, organizations, institutions. Ideally Shareholders relation to business was purely profit driven, and only consideration for share benefit. Shareholders can be active driver of CSR by adopting shareholder activism. Shareholder activism can take place by corporate engagement or dialogue (communicating with management on issues), shareholder resolutions (filing or supporting shareholder proposals on social and environmental issues), proxy voting (establishing policies for voting shares on social and environment) and divesting shares (selling of shares).

Shareholders as social investors may include in their investment decision processes over and above consideration of financial risks and return. It may be a combination of ethical, social, and environmental issues.

Shareholders seek to change corporate behavior via proxy resolutions and negotiation and management.

Shareholders construct portfolios using a process known as screening, a method of excluding objectionable investment according to decision rules established beforehand. This can also exclude objectionable investments according to decision rules established beforehand, to exclude companies involved in tobacco, alcohol, or gambling. Some shareholders want to invest in companies with positive social records, a process known as positive screening. Shareholders may refer to investments that is beyond the traditional financial channels and are regarded as having high social impact. It may take the form of micro finance (small loans to entrepreneurs essentially, in developing countries) or social venture capital or community lending.

Shareholders as activist can also contribute to CSR

Procedures of Shareholder Activism

Shareholder activists influence the behavior of a firm by exercising their ownership rights. There are two main ways of exercising their rights:

- By preparing shareholder proposals which are voted on by all shareholders at the company's annual shareholders.

- By entering a dialogue with the company's management.

Case study

BP Amoco and Shareholder activism

BP Amoco shareholders have supported an agenda raised by shareholder activists concerning its strategic positioning over climate change. A resolution was taken to halt BP's North slope field in Alaska. The shareholder activism was part of a larger campaign launched by a group of activists. The Alaska subsidiary of BP pleaded guilty to prevent a crude spill across a swath of delicate tundra region. It is one of the largest spill ever in the vast, oil-rich region of Arctic Alaska known as the North Slope, Management at BP Amoco encouraged a positive response to the proposal from the company. The campaign allowed many shareholders and build a long-term dialogue with the company. The activists argued that the company had to acknowledge the threat of global climate change and that it would mean a substantial reduction in the use of oil and gas.

This activism was not able to generate any good response. In 2002, the Worldwide Fund for Nature (WWF) launched a campaign on BP in collaboration with a large group of shareholders from the NGO, SRI, and Institutional Investor Community.WWF used its own shares to launch the campaign and advertised in popular newspapers. The resolution led by WWF stresses BP to disclose how it analyses and minimises the risk to shareholder value from operating in environmentally or culturally sensitive areas. In their response to the resolution, BP recognised the need for increased disclosure and asked the shareholders to withdraw the proposals on the grounds that it already performed risk assessments (Source: Oil Spill History and Ecotoxicology | BP's Alaskan Well Blowout (piratelab.org).

Activity 4

Discuss different types of Stakeholder activism and their role in business responsibility.

....

....

....

....

....

5.6 CORPORATE CITIZENSHIP AND BUSINESS

The idea of the firm as citizen had been put forward by many pioneers of CSR. A firm is not just socially responsible if it merely complies with the law only, because this is what a good corporate citizen would do (Davis, 1973). In the late 1980s, scholars in business and society stated that good corporate citizenship is reflected in company assistance to community well-being through its financial and non-monetary contributions (Epstein, 1989). In the 1990s the concept of corporate citizenship attracted positive business attention. Corporate citizenship is about the relationship that a company develops with its stakeholders. This involves building good relationships with its stakeholders and that citizenship and such citizenship is the very same thing as doing business well. Corporate citizenship is related to social expectation, but it is mostly adopted from an ethical perspective. Business Ethic regards corporations as a citizen. Corporations like individuals are part of the communities that created them and the responsibilities they bear are intrinsic to their existences as social beings (Solomon, 1992).

Corporate Citizenship is about the relationship a company develops with its stakeholders. Being good citizen basically means having respect for each other. It can be also defined as legal and ethical responsibility that many corporations owe to the society where they operate. It is an act of giving back to the community. Its prime aim is to improve the living standards of people in the community and empower them. In the process of achieving its motive to empower the community, the company should ensure that the resources invested in harmonizing these projects are within their financial reach. Ethics is an acceptable way of conduct by an individual or an organization. It is also referred as the guidelines or principles that govern the organization. When organizations participate in ethical practices will excel in their business as they build a very strong network of association with their consumer and gain trust of its stakeholders.

Case study

Abbot Laboratories and corporate citizenship

Abbott is an international broad- based firm that is involved with the manufacture of pharmacy products, food supplements and other health care products. It has invested in scientific research so that they can discover better health care facilities and drugs that cater to the needs of the consumers.

The company provides a continuum of medical care starting from surgical apparatus to nutritional and veterinary services. With a workforce of 90,000 and distribution of its products over 130 countries across the globe hence they have been known for their safe quality medical products worldwide and it has remained in the top of the pharmaceutical market for more than 120 years. The cornerstone for its achievement lies in their commitment to ethical practices.

The company's code of conduct condones any malpractices in the harshest way possible. If any employee is suspected or caught breaking any of the rules. Corruption and bribery was abhorred at any level. Its books of account must be accurate and reflect exactly what is happening in the company. Any forgery or artificial entry is treated as a bridge of the company's code of conduct hence penalized accordingly. Because of these strict rules the firm could scale great heights in the field of medicine and stand out from the rest. The company was also committed to offering services to people who were in dire need of it. That is why Abbott has taken the initiative to ensure that the underprivileged and the less fortunate in the society get access to quality medical care. Besides the company has been active in philanthropic activities and donated relief funds for people affected by disaster and other natural calamities specially in countries like Pakistan, Chile and Haiti.

Abbott had a very active customer relation. It had worked hard to maintain a good corporate citizenship. As a company it was concerned about the opinions of the customers towards the services it offered. They are very responsive to act on any issues arising from the use of their products and communicate back to their consumers and related stakeholders on the way forward. The company also offers many educational programmes to help its clients or patients learn about diagnosis of disease, its prevention and cure. The company train them to effectively use the products and provide them with reliable full time customer care contacts. Such commitment for clients displays their concern for their better lives.

The firm has been into environmental sustainability and taking serious measures for the communities living adjacent to the firms. It is committed to reducing the impact of carbon emissions by its manufacturing plants. It has established an environmentally friendly program to manage and keep watch of the direct emissions. They are investing in low carbon energy with the aim of cutting down on the level of carbon emission to the environment. The company is keen to practice proper waste disposal and encourage recycling of its resources to clean up the ecosystem.

Abbott partnered with the state to strengthen several public issues. In Tanzania the company allied with the government to strengthen the health care system. This partnership yielded positive outcome with Tanzania witnessing an overhaul of the health care system. This new facility could deal with critical health problems like AIDS, Cancer, and other chronic diseases. It has also upgraded all the labs in the country and increased its efficiency, created intensive care unit and trained medical staff to provide medical services to the public. Hence, the ten long year partnership was able to bring about transformation of the whole medical system of the country (Source: Policies | Business Conduct and Decisions | Abbott U.S.).

5.7 SUMMARY

Businesses economic drive is of utmost importance to business and its partners. But this drive should not be at social or community cost. Shareholder relation to business is about fiduciary gain and that's considered as the first responsibility of business. This view of social responsibility was firmly established by the law. Social contributions, philanthropy of businesses was not acceptable. Later social contributions were acceptable when such contributions were made profitable, presenting CSR as a question of self-interest. Under certain conditions the satisfaction of social interest contributes to maximizing shareholder value and large companies pay attention to CSR, particularly in considering the interests of people with a stake in the firm, i.e., the stakeholders. It's not just the shareholders but the authentic responsibility of a firm is to create value for its stakeholders. The purpose of the firm is related to the interests of different groups and individuals who are directly or indirectly associated with it. As the engagement with the stakeholders increase firms consider itself as corporate citizen. Hence, firms as corporate citizen involve developing good relations with its stakeholders.

5.8 KEYWORDS

Shareholder Primacy : Shareholder primacy is a shareholder-centric form of corporate governance that focuses on maximizing the value of shareholders before considering the interests of other corporate stakeholders, such as society, the community, consumers, and employees.

Corporate Citizenship : Corporate citizenship involves the social responsibility of businesses and the extent to which they meet legal, ethical, and economic responsibilities, as established by shareholders.

Social Responsibility : Social responsibility means that businesses, in addition to maximizing shareholder value, must act in a manner benefiting society, not just the bottom line.

Conscious Consumerism : Conscious consumerism means consumers deliberately make purchasing decisions that they believe have a positive impact.

Socially Responsible Investment : Socially responsible investment, or SRI, is a strategy that considers not only the financial returns from an investment but also its impact on environmental, ethical or social change.

5.9 SELF-ASSESSMENT QUESTIONS

1. Draw out a clear distinction between Shareholder centric CSR and Stakeholder centric CSR?
2. Do you think Socially Responsible Investment is one form of Shareholder activism?
3. Do you agree that global expansion of business has hastened consumer consciousness movement? Explain.
4. Discuss the role of civil society in regulating business?
5. Why Corporate Social Responsibility is concerned with supply chain management especially the global supply chain?

5.10 REFERENCES/FURTHER READINGS

Carroll et al (2012) Corporate Responsibility, The American Experience, Cambridge University Press.

Cristina A.et al (Nov. 2012), 'Four Case Studies on Corporate Social Responsibility. Do conflicts affect a Company's Corporate Social Responsibility Policy ?, Ultrecht Law Review, Vol 8, Issue 3.

Davis, K. (1973) 'The Case for and Against Business Assumption of Social Responsibilities' in Academy of Management Journal.16: 312-22.

Epstein, E.M. (1989) 'Business Ethics, Corporate Good Citizenship and the Corporate Social Policy Process: A view from the United States.' Journal of Business Ethics, 8(8):583-95.

Andrew et al (edt) (2008) The Oxford Handbook of Corporate Social Responsibility. Oxford University Press.

Drucker, P.F. (1954) The Practice of Management, New York: Harper.

Freeman, R.E. (1984) Strategic Management: A stakeholder Approach. Boston: Pittman.

Windsor (2006). Corporate Social Responsibility: Three key approaches, Journal of Management Studies,43 (1):93-114.

McWilliams & Siegel (2001). Corporate Social Responsibility: A Theory of the Firm Perspective, Academy of Management Review,26 (1):117-27.

Hosseni & Brenner (1992). The Stakeholder Theory for the Corporation: Concepts, Evidence, Implications,' Academy for Management Review, 20 (1): 65-9.

Prahalad and Hamel. (1990) 'The Core Competency of the Corporation,' Harvard Business Review, May-June, 78-91.

Schwartz & Gibb (1989), Where Good Companies. Do Bad things: Responsibility and Risk in Age of Globalization. Wiley and Sons.Inc.

Rigby,E. (2006) "Ethical Consumer: Supermarkets and Clothes Chains alike have realized that Shoppers view the Ethics of Sustainability & Ecological Responsibility as Core to their Buying decisions,' Financial Times,12 June:4.

Rigby and Harvey (2007). "M&S Vows to Spend $200 m Going Green." Financial Times,15 Jan.

Mitra,M. (2007). It's Only Business! India's Corporate Social Responsiveness in a Globalized World. Oxford University Press, New Delhi.

Newell, (2000). "Environmental NGOs and Globalization: The Governance of TNCs,in R. G Cohen and S. Rai (eds, Global Social Movements. London: Athlone Press,2000

Davis, (1975). Five Propositions for Social Responsibility Horizons, 18 (3): 19-24. 1975.

Epstein, E.M. (1989)" Business Ethics, Corporate Good Citizenship, and the Corporate Social Policy Process: A View from the United States'. Journal Of Business Ethics,8 (8): 583-95.

Solomon,C.R. (1992) Ethics and Excellence: Cooperation and integrity in Business. New York: Oxford University Press.

Posted April 17, 2017 by admin under N. (2017, April 18). *BP's Alaskan Well Blowout*. Oil Spill History and Ecotoxicology. Retrieved October 10, 2022, from https://oil.piratelab.org/news/2017bpalaska/

Policies: Abbott India Limited. Policies | Abbott India Limited. (n.d.). Retrieved October 10, 2022, from https://www.abbott.co.in/investor-relations/policies.html

UNIT 6 BUSINESS STRATEGY IN CSR

Objectives

After reading this unit, you should be able to:

- Examine relation between business strategy and CSR
- Discuss why there is no single rationalization of business strategy in CSR
- Explore the relations shared by stakeholders and business
- Discuss different types of business case for CSR

Structure

6.1 INTRODUCTION

In the early CSR initiatives, there was always the built-in premise that engaging in CSR; businesses would be enhancing the societal environment. Business strategy for CSR has been developing for several decades. CSR has accelerated and has come to mean the establishment of the business justification and rationale, i.e., the specific benefits to businesses in economic sense.

Can a firm do well by adopting CSR?

Is there a return to investment?

How CSR improves the bottom line?

Corporate boards, CEOs, CFOs and high- ranking business executives care about the company's financial welfare and ultimately must bear responsibility. But other entities do care about company's financial performance. Shareholders are increasingly concerned about with the financial performance and threat to management's priorities, Government are concerned because they desire to see whether companies can deliver social and environmental benefits in a cost- effective manner than these companies can go through regulations. Even consumers care about the products. There are different categories of CSR and business strategy. Companies may pursue CSR strategies to a) defend their reputations b) justify benefits over costs, c) integrate with their broader strategies d) learn, innovate, and manage risks

There is no single rationalization for Business strategy and CSR. CSR is typically understood as businesses long-term self-interest. To function in a healthy manner business must take actions that will ensure its long-term viability. In another sense, it will keep government regulation at bay and future government intervention can be forestalled to the extent that business policies itself with self-discipline can fulfill society's expectations. Another viability is that business has resources. CSR was practiced more on philanthropic than a business model in the initial stages of its development. Most of the companies embraced CSR by associating themselves with social causes, environmental causes or for alleviating the sufferings of the underprivileged. But things changed and CSR has drifted its domain and has now shifted from corporate philanthropy to central corporate agenda and source of competitive value.

With the growth of CSR, companies must decide how to integrate CSR into their organizational strategy. Most companies regard CSR as a tool for improving business performance through initiatives that are unconnected with the business strategy, such as charities. There is a problem with such a peripheral approach to CSR. It may not generate the best societal or business outcomes. Instead, an integrated approach is essential for leveraging the potential synergies between social and business strategies. This integrates CSR into the company's day to day activities, core competencies, shared understandings and strategic decisions (Basu and Palazzo,2008). Potential synergies between social and corporate agendas can allow companies to embed CSR into organizational culture and view it as an opportunity for innovation (Porter and Kramer, 2006). With contradictions in the economic and societal demands (Margolis and Walsh 2003) companies attempting to integrate CSR into their business strategy and operations also expose themselves to internal CSR tensions that require systematic managerial attention.

For managing tension, it becomes crucial for the integration of CSR into business strategy. Before we go into discussing best business strategy approach to CSR, we like to draw the attention to external or peripheral and internal or integrated approach. In the peripheral approach the companies separate the CSR activities from the core business activities to satisfy external expectations. Companies may outsource CSR through charitable contributions, which enables them to garner external legitimacy while internally focusing on core business practices and financial responsibility. The peripheral approach mostly driven by specific stakeholder pressures produce inconsistent CSR activities, and consequently fail to positively impact either the business or societal outcomes of the company (Porter and Kramer, 2002, 2006).The integrated approach may enable companies to improve their economic and social performance by aligning business and social agenda.

6.2 INTEGRATING CSR INTO MANAGEMENT PRACTICES

Integrating CSR into the management practices may increase the legitimacy and salience of ethical values as integral part of business strategy. For e.g., the annual reports of companies traditionally focus on service delivery and customer satisfaction but if it integrates CSR in its business strategy then it's focus will shift to values of trust, transparency, reliability, and responsibility in explaining the nature and content of the business strategy.

The management practices recognize the problems as a permanent part of the company. But also consider both the business and ethical aspect as serious matters of the company. It also requires an active response to the problem. Recognizing the problem at the organizational level and in legitimizing the ethical values and incorporating ethical elements into strategic decisions. The company managers were aware of the tensions between past and future visions, and they saw navigation of such tensions as part and parcel of realizing the company's vision.

Hence, acceptance of ethical values as a legitimate basis of business strategy also translates into concrete strategic actions like investments in ethical projects, adopting society improving mission as guiding principles in the development of new solutions to customers. Also, attention was devoted to new contracts and collaborative practices in projects, allowing employees at the operative level to make sense of the strategy in the context of their work.

Activity 1

How does a corporation integrate CSR in corporate policies?

....

....

....

....

....

6.3 DIFFERENT APPROACHES OF BUSINESS STRATEGY FOR CSR

The four approaches include :

- Cost and risk reduction.
- Gaining competitive advantage.
- Developing reputation and legitimacy.
- Drawing positive outcomes through synergistic value creation.
- Creating value for multiple stakeholders.

Besides there are others like linking CSR with Corporate Social Performance, or Ethical investing which is built on the belief that there exists a strong correlation between social performance and financial performance.

The Cost and Risk reduction – There are different types under this approach- the trade-off hypothesis, the available funds hypothesis or slack resources theory and enlightened value maximization.

In the trade off hypothesis, it explicitly makes it clear the difference between the real role of the corporate executives, i.e., to work for the firm, its employees and consumers and give up the idea of working for social good. This hypothesis is based on Milton Friedman's approach to CSR. Here the debate is between a firm's fiduciary duties and social responsibility. There is problem on the negative trade-off view when firm increases the social performances, it incurs unnecessary cost and reduce profitability.

The slack- resource theory assumes that when organizations are enjoying high financial performance or have slack resources, they are ready to dedicate additional resources to CSR activities. It implies that firms regard CSR as additional cost, and they can pursue this activity when they are in a position not to minimize the cost.

The enlightened value maximization focuses on long term corporate value maximization that occurs through the appropriate management of trade-offs between stakeholders. Again, managerial trade-off is driven by alignment of managerial interests with those of company owners through executive compensation with stock options. Firms view stakeholders as part of the environment to be managed rather than as driving corporate strategic decisions and attention to stakeholders' concerns help to reduce corporate risks by avoiding decisions that will push stakeholders to oppose the organization's objectives (Bowie and Dunfee, 2002). To develop relationship with stakeholders so that the firm can significantly lower the cost.

The firm can also focus on developing CSR standards and auditing CSR practices may also help to build confidence with the stakeholders.

As per the Cost and risk reduction approach the demands of stakeholders present potential threats to the viability of the organization. Economic interests are served by mitigating those threat through a threshold level of social and environmental performance.

Competitive Advantage: Adapting and Leveraging Opportunities

There are several themes related to competitive advantage – the supply and demand theory of the firm, base of the pyramid approaches, and natural resource- based view of the firm.

Companies do not operate alone or in isolation from the society around them. Companies' ability to compete depends on the circumstances of the locations where they operate. Improving education is generally seen as a social issue, but educational level of the local workers substantially affects a company's potential competitiveness. Philanthropy is unfocused or piecemeal. But Corporations can use their philanthropy by aligning and improving a company's long- term business prospects. In addition, addressing context enables a company not only to donate money but also leverage its capabilities and relationships in support of charitable causes. Its philanthropy is context based. Several companies have used context-based philanthropy to achieve both social and economic gains. E.g., Cisco Systems has invested in an ambitious educational program – the Cisco networking Academy to train computer network administrators, thus minimizing a potential constraint on its growth while providing attractive job opportunities to high school graduates. Cisco demonstrated the unrealized potential of corporate philanthropy. With this new direction, it requires fundamental changes in the way companies approach contribution programs. Though economic and social objectives are distinct and often competing, but it is a false dichotomy.

Companies do not function in isolation from the society around them. In fact, their ability to compete depends on the circumstances of the locations where they operate.

Businesses do not function in isolation from the society around them. In fact, to compete, companies depend heavily on the circumstances of the locations where they operate. Improving education is a social issue, and educational level of the local workforce substantially affects a company's business. It has to be conscious about the health of the workforce, for unhealthy workforce may endanger the corporation's economic goal and jeopardize the growth process.

In the long run, social and economic goals are not inherently conflicting but integrated. Competitiveness depends on the productivity with which companies can use labor, capital, and natural resources to produce high-quality goods and services. Productivity depends on a healthy work force that is safe, and decently housed and motivated by a sense of opportunity. Preserving the environment not only benefits the society but the companies, because reducing pollution and waste can lead to a more productive use of resources and help produce goods that consumer needs. In developing countries improving the economic and social conditions can create productive locations for a company's operations as well as new markets for its products. We are learning that the most effective method of addressing many of the world's pressing problems is often to mobilize the corporate sector in ways that benefit both society and companies. Corporate expenditures are carried out purely to benefit the organization, and not necessarily leading to social outcome. But for strategic benefit corporations does involve in social initiatives to bring good to the corporations and the society. When corporate expenditures produce simultaneous social and economic gains that corporate philanthropy and shareholder interests converge, and here philanthropy is strategic.

Why Competitive context has become an important strategy?

Availability of skilled and motivated employees, the efficiency of the local infrastructure, roads, telecommunications, the size and sophistication of the local market, the extent of governmental regulations have influenced companies to compete. But competitive context has become more critical as the basis of competition is based on superior productivity. Modern knowledge and technology-based competition is depended on worker capabilities.

Reputation and Legitimacy: Rationales for business responsibility

Business strategy based on reputation and legitimacy is focused on exploiting CSR activities to create value through gains from firm's reputation. This may be achieved through: license to operate, cause-related marketing. These approaches stress on business value creation by leveraging gains in reputation and legitimacy by aligning stakeholder interests.

License -to-operate- Business organization

Business organization is a social entity that must exercise responsible use of its power, and if it loses control, it will negatively impact the business. It focuses on the importance of aligning business with stakeholder interests. Failure to meet stakeholder needs has a negative impact on firm reputation. Obtaining a formal license to operate from government and meeting regulatory requirements is no longer enough. For e.g., In the mining industry operations can be delayed or interrupted, or even shut down due to community opposition. Social-license to operate emerged in the mining industry in the 1990s but it was also adapted in a range of industries, like paper and pulp manufacturing, agriculture. Mining generates positive and negative impacts for the host communities. In terms of positive impacts, it generates local employment, training for young people and often investment opportunities. In Australia, where mining is hugely predominant development places stress on local social services and infrastructure. If a new mining operation takes place, the influx of construction workers stretches the capacities of the local hospitals and child- care facilities alongside having considerable impact on housing availability and affordability for old and new resident alike. This caused tension and resentment within the local communities. Suppose a multi-billion-dollar construction process has started. Approximately 5000 people have been employed. The exploration and extraction wells were in a cross-border area approximately 400 km pipeline taking extracted gas to a processing plant.

Due to the dispersed nature of the infrastructure associated with the operation, multiple communities were affected by its activities. Communities experienced impact that ranged from dust and the heavy traffic caused by company and contract or vehicles, road construction and the management of large volumes of water extracted with gas. At the time of data collection, communities had also expressed concern with broader potential environmental impacts such as ground water quality and levels as well as associating economic impacts.

Cause- Related Marketing and Business Responsibility

Marketing is not just restricted to its company but society. Marketers must carefully consider their role in broader terms, and the ethical, environmental, legal, and social context of their activities. We can see a fundamental change in the way consumers buy their products and services. Consumers now commonly engage in a cultural audit of providers. People want to know your value and ethics demonstrated by how you treat employees, the community in which you operate, the implication of marketers is to strike. The balance between profitability and social consciousness and sensitivity. It is not a program or a quarterly promotion, but rather a way of life.

The social marketing concept holds that the organizations task is to determine the needs, wants and interests of target markets and to deliver the desired satisfaction more effectively and efficiently than competitors in a way that preserves or enhances the consumers and society's long-term wellbeing. Sustainability has become a major concern in the face of challenging environmental forces. Firms such as Hewlett-Packard (HP) have introduced recyclable computers and Printers and reduced greenhouse emission. McDonald's strives for a "Socially responsible Supply System." Encompassing everything from healthy fisheries to redesigned packaging. International clothing brands have adopted re-cycling of their products.

The social marketing concept calls upon marketers to build social and ethical considerations into their marketing practices. They must balance and juggle the often-conflicting criteria of company profits; consumer want satisfaction and public interest. As goods became more commoditized and as consumers grow moral.

Cause- related marketing (CRM) focuses on alignment of stakeholder and firm interests by linking corporate philanthropy and marketing, showcasing socially and environmental responsible behavior of the firm to generate reputational gains. As a marketing strategy it is no doubt different from sales, corporate philanthropy, corporate sponsorship, and public relation, but incorporate all such activities. The link between a cause and customers is cause affinity of customers. By supporting specific cause, a company can build an association between itself and the cause and gain favorability of those parts of the society that are in favor of that cause. Social responsibility practices are perceived as having marketing as underlying motive (Lantos, 2001). This may provide benefits to the companies in the form of higher reputation, market value, supportive communities, customer loyalty, improved quality and productivity and employee loyalty and retention. CSR also acts as core part of the brand and its allied activities display brand characteristics. Within the position of CSR as a marketing tool, decision makers within a corporation reflect an increased desire for doing well. Corporations may choose few strategic areas that fit with the corporate values, selecting initiatives that support business goals, choosing issues related to core products and core markets etc.

Causes have become vital part of an implementation process of CSR, supporting a cause as a marketing tool has been termed as cause related marketing.

The support of a specific cause within a CSR strategy can have several effects. It can serve as an illustration of societal benefits of a company, it can increase the awareness of customer. A cause can help communicating a positive message to a specific segment of the market. It is blending of the concepts of affinity and marketing. It is based on a strategic partnership between complementary brands in which a neutrally beneficial relation is formed between the groups involved. It has a discrete group orientation rather than short-term and mass market orientation respectively. This type of Cause Related Marketing narrows down the target group from mass market to small and discrete group. It is an enduring and sustainable relation.

Consumers concern about marketing has driven many corporations to make marketing relevant to society. They are demanding more value for their money, and that is why they choose firms with a social orientation. Advocating CSR in marketing communications and implementing marketing activities that contribute specific amount to a designated non-profit, in turn causes customers to engage in revenue providing exchanges. In the U.S, CRM is used a tool to tie a company and its products to a cause. It creates value and directly enhances financial performance. In European market CRM has gained immense popularity because aligning companies with charities can result in growth of market shares and customer loyalty. CRM also keeps the marketers tuned with the mood of the public, because it is sensitive, trustworthy,and relevant to society.

Creating value for multiple stakeholders

Creating value for multiple stakeholders can be approached through societal learning. The concept of value- based networks describes how communities and social networks united by sense to create new opportunities for mutual gain. The triple concept of Elkington emphasizes the synergies that can emerge for organizations, environment, and societies through integrating efforts across these domains. A Sustainable Local Enterprise Network Model was developed by examining self-reliant and sustainable enterprise in developing countries. It is a network involving of enterprises with huge profit motive, local communities, NGOs. NGOs work here in a self-organized manner to create value in economic, social, human terms. SLEN had a financial anchor to secure its financial sustainability.

Case study

Honey Care Africa

It is one of East Africa's largest suppliers of high-quality honey and is based in Nairobi, Kenya. It is a unique business model with closely linked allies and shares mutually beneficial relationships with rural farmers, microfinance institutions, NGOs, government extension workers and urban supermarkets. It sells high-quality honey to the East African domestic market and the European speciality food markets.

It has customized the bee- hives to the Kenyan environment. The Company has expanded productivity and improved beekeeping in the region and contributed to rural development. It sources its honey from small scale rural beekeepers who are paid a guaranteed price for the honey they produce. This is a unique partnership model that aligns with microfinance institutions and NGOs that allows the poor farmers to buy hives. The company also provides training and works with the government to provide agricultural extension services to beekeepers. It is successful in creating a diversified income source for more than 7000 workers. The company provides incentives to the farmers to protect the natural areas where the bee's collect nectar. Besides its attempt to contribute to biodiversity is enhanced through a partnership in which farmers receive free hives in exchange for reforesting.

Honey Care shares partnership with several donor organizations, NGOs and community-based organizations, women's groups, and Self-Help groups. It was much later; international investment took place. In 2004, the World Bank invested additional capital to facilitate the expansion and replication of Honey Care's business model to other African countries. Honey Care's innovative business model has helped many farmers to raise themselves out of poverty. This has helped the company to attract and leverage additional investments from investors, development agencies, NGOs and creating a virtuous circle of benefits for all members of the network (Source: Wheeler, D et al, 2005).

Case study

Grameen Shakti

Grameen Shakti is a company based in Bangladesh that sells home solar electricity that comprises of 70% of the population. Grameen Shakti was established in 1996 as part of the Grameen Bank's Family. It operates on a model of providing small loans without collateral to the rural poor. The Grameen Bank was started in 1976 but officially established in 1983. Grameen Shakti is a part of the Grameen family enterprise that is dedicated to improving the quality of rural life in Bangladesh. Though it is registered as a not-for profit organizations, but it operates like any business corporations. Despite persistent market challenges, the organizations achieved profitability in 2000. Grameen Shakti has installed more, than 40,000 individual solar energy systems that have provided more than 100,000 lower-income group. For financial support Grameen Shakti allied with Grameen Bank. The company benefits from the bank's social network and physical presence in several villages in Bangladesh. The bank also helps in raising awareness of the solar energy systems also build the organizational capacity to provide microfinance loans to prospective customers. Besides generating rural development, the company contributes to improved education, better health care and avoidance of biomass -based fuels (Source: https://gshakti.org).

Activity 2

Does every corporate expenditure bring social benefit, or every social benefit will be competitive?

....

....

....

....

....

6.4 PROBLEMS IN BUILDING BUSINESS CASE FOR CSR

Problems may arise in business case of CSR. Problem may arise at the level of justification at the organization and society, economic, ethical, and political. The causal connections between corporate social performance and corporate financial performance did not yield any conclusive results. In some it is an extreme, untenable proposition to assert that any management initiative is positively correlated with financial results under any conditions. Probably in some corporations it may have worked.

Positive correlation between CSP and CFP indicates that commitment to CSR would increase costs in competitiveness and lessen the hidden costs of stakeholders as good relations with employees, suppliers, and customers are essential for sustainability. Suppose a company increase its costs by improving CSR to enhance competitive advantage, such social responsibility may improve company reputation. Creating reputation among stakeholders would give advantage over other firms in form of loyalty from employees, customer and suppliers which give power of retaining, increased sales ad bargaining and much more.

The negative correlation between CSP and CFP may lead to implementing CSR will result in competitive disadvantages to the business as the cost due to CSR activities will result in little gain if measured in economic terms.

Creating reputation among stakeholders would help other firms to gain loyalty from employees, customers, and suppliers. Stakeholder satisfaction may build image and create reputation through intangible assets. These intangible assets would create a kind of value and competitive advantage to firms and lead to superior financial performance. It is also believed that a good reputation is none other than the possibility of demanding a higher price for the products or services supplied by the company, greater loyalty from consumers and employees and greater stability of incomes.

Activity 3

Examine critically the relation between Corporate Social Performance and Corporate Financial Performance.

....

....

....

....

6.5 BUSINESS STRATEGY FOR CSR-INTEGRATING BUSINESS AND SOCIETY

Even though there has been a succession of eras in CSR research, starting from shareholder to stakeholder and a more integrative approach. It is believed that business responsibility started off with shareholder responsibility, and in successive eras shareholder approach was replaced by the stakeholder approach. But it is not necessarily a replacement, rather these approaches existed simultaneously, one building on the other and bringing in a broader business strategy. Stakeholder centric management existed from the beginning of Industrial revolution. The shareholder centric business responsibility is primarily accountable to shareholders and then building a competitive advantage view to building a business strategy to CSR that brings profit to the corporation and the community.CSR needs to move beyond the economic or ethical divide through a decreased emphasis on fragmented motive to a more integrative perspective.

Creating shared value requires a close link between CSR activities and core business strategy. It allows the firm to use its unique resources and competencies to increase the efficiency and effectiveness of social programs. The shared value may also stimulate development of new resources that may become part of the organization's competitive advantage. There are three mutually reinforcing mechanisms of shared value creation, preconceiving products and markets, redefining productivity in the value chain, enabling local cluster development aimed at improving the company's competitive context.

CSR is regarded as a social investment or strategic philanthropy. It can improve accessibility to high quality business inputs i.e., qualified employees, efficient infrastructure, access to research institutions, relevant technology and capital, demanding to increase the size of the market. To advance CSR, it is required to understand the interrelationship between a firm and society while at the same time incorporating it in the strategies and activities of specific companies.

The interdependence of a company and society can be analysed, in terms of its competitive position and develop strategy and focus on CSR, activities to best effect. Rather than working out of pressure, the organization can set an CSR agenda that produces maximum social benefit as well as gains for the business. When a company uses the value chain to examine the social consequences of its business activities then it creates some problems and opportunities. These are mostly related to operational issues. These issues should be investigated, prioritized, and addressed. In fact, companies should drive away as many negative value-chain social impacts as possible.

The prime task of the company is to identify those activities that offer social and strategic distinction. These social initiatives should have the greatest shared value that benefits both society and company's competitiveness. Another important aspect of the value chain is that it depicts all the activities a company engages in while doing business. There are impacts of business hugely determined by its core policies, i.e., hiring and lay off policies, carbon emissions.

Companies need not be just satisfied with its impact on society but also how society influences business. It affects its ability to improve productivity and execute strategy. A company's location such as transportation infrastructure and enforced regulatory policy affect its ability to compete. Every successful corporation need healthy society. For a productive workforce education, health care and equal opportunity are very important. Working conditions and safe products are not only sought by the consumers but is lessens the cost of casualties in the factories

With efficient utilization of natural resources business becomes more productive. A stable Government and proper legislation protect both consumers and competitive companies from exploitation. Essentially, a healthy society creates expanding demand for business as more human needs are met and aspirations grow. No other sector can rival business sector when it comes to creating employment, wealth that improves the standards of living and social conditions over time. If state, non- profit organizations try to interrupt and weaken the ability of business to operate productively, then it will affect wages, jobs and other benefits that society is also a part of.

It's been observed that both business and civil society have focused too much on the friction between them and not the points of intersection. Business and society are mutually dependent. This implies that both businesses and social policies must follow the principle of shared value. It should benefit both sides. If either a business or a society pursues policies that benefit its interests at the expense of the other, then it may end in jeopardy. It may lead to temporary gain but not a long-term growth. Broadly, business must integrate a social perspective into the core frameworks to understand competition and guide its business strategy.

6.6 SUMMARY

CSR was practised more as a philanthropic business model in the early stages of development. Companies embraced CSR by associating themselves with social causes, environmental causes or for alleviating the sufferings of the underprivileged. CSR has shifted its domain from corporate plurality to central corporate agenda and source of competitive value.

With the growth of CSR, companies embrace CSR in their organizational strategy. Synergizing social and corporate agenda may allow companies to embed CSR into organizational culture. By integrating into the management practice may increase the legitimacy and ethical value as interesting part of business strategy. CSR in its business strategy will then focus on values of trust, transparency, reliability and responsibility. The management practice recognises the problems as a permanent part of the company. By considering both the business and ethical aspect as serious matter of the company. Acceptance of ethical values as a legitimate basis of business strategy also translates into concrete strategic actions like investment in ethical projects, adopting society, improving mission as guiding principle in the development of new solutions to customers. New contracts and collaborative practice, allowing employees at the operation level to understand the strategy in the context of their work. CSR objectives are integrated as creating values for organization and society as well as for its stakeholders.

6.7 KEYWORDS

Business Strategy : A business strategy is the combination of all the decisions taken and actions performed by the business to accomplish business goals.

Stakeholder	:	A stakeholder is a party that has an interest in a company and can either affect or be affected by the business.
Cause-related marketing (CRM)	:	Cause-related marketing is a marketing method where businesses align themselves with social issues or beliefs that are important to them and execute a campaign accordingly.
Corporate Social Performance	:	Corporate social performance is the stakeholder's assessment of corporate social responsibility (CPR) and corporate citizenship over time in comparison to the competition.
Synergistic value	:	It is based on the availability of slack resources, stakeholder engagement and regulatory intervention which transcend strategic CSR benefits for both business and society.

6.8 SELF-ASSESSMENT QUESTIONS

1. Examine the role of values in the CSR strategy of business.
2. Explore the relation between corporations, its stakeholders and strategies adopted for better relation.
3. Why integrative approach of Business Responsibility is considered far encompassing than shareholder approach?
4. How Cause- Related Marketing is related to Customer Consciousness?
5. By creating reputation among stakeholders' firms can gain loyalty from employees, customers, and suppliers. Explain with examples.
6. Do you think the current CSR mandate in India which emphasizes on spending and disclosure is an integrative business strategy?
7. Socially Responsible Investments demonstrate a business strategy that has a huge social impact. Elaborate with examples.

6.9 REFERENCES/FURTHER READINGS

Alkhafah, A.F. (1989), A Stakeholder Approach to Corporate Governance: Managing in a Dynamic Environment. New York. Quorum.

Anderson,J.C,. and Frankle, A.W. (1980), Voluntary Social Reporting: An Iso- Beta Portfolio Analysis.' The Accounting Review.55:467-79.

Bansal, P. and Roth, K. (2000), Why Companies Go Green: A Model of Ecological Responsiveness.'43:717-36.

Basu, K., & Palazzo,G. (2008), Corporate Social Responsibility : A process model of sensemaking . Academy of Management Review. 33(1).122-136.

Berger,P.L., and Luckman,T. (1966), The Social Construction of Reality: A Treatise in the Sociology of Knowledge. Garden City, NY: Doubleday.

Bhattarcharya, C.B., and Sen,S. (2044) 'Doing Better at Doing Good: When , Why , and How Consumers Respond to Corporate Social Initiative.' California Management Review, 47(1).

Bowie, N.E., and Dunfee, T.W. (2002) "Confronting Morality in Markets." Journal Of Business Ethics, 38 (4):381-93.

Burrell, G., and Morgan,G. Sociological Paradigms and Organizational Analysis. Aldershot: Ashgate Publishing.

Cochran,P.L., and Wood, R.A. (1984) 'Corporate Social Responsibility and Financial Performance'. Academy of Management Journal,27:42-56.

Grameen Shakti. (n.d.). Retrieved October 10, 2022, from https://gshakti.org/

Margolis, J.D., and Walsh, J.P. (2001). People and Profit? The Search for a Link between a Company's Social and Financial Performance. Mahwah,NJ: Lawrence Eribaum.

Porter, M.E., & Kramer, M.R. (2002). The Competitive advantage of corporate philanthropy. Harvard Business Review. Dec.

Porter,M.E., Kramer, M.R. (2006). Strategy and Society: The Link between Competitive advantage and corporate social responsibility . Harvard Business Review.

Porter, M.E., & Kramer, M.R. (2011). Creating shared value. Harvard Business Review.

Wheeler, D et al (2005), Creating Sustainable Local Enterprise Networks , MIT Sloan Management Review, Vol 47 No 1

UNIT 7 CSR IN GLOBAL CONTEXT

Objectives

After reading this unit you should be able to:

- give an overview of the importance of CSR in global business
- offer a linkage of CSR with Sustainable Development Goals (SDGs)
- provide a connection between SDGs and CSR in India
- explain how conflict influence business
- show how business and social activism are interlinked
- elaborate whether CSR is a reality or farce

Structure

7.1 INTRODUCTION

Globalization has aptly highlighted the importance of corporate social responsibility (CSR) in international business. Today globally, business has been forced to become socially responsible. As long as these entities are conducting business in public square, they are bound to be socially sensitive and accountable to people. There has been a growing realization among the corporate leaders that their stakeholders have fast becoming rights-conscious, educated and sophisticated. Now commoners around the globe know very well what suits them best. Massive business campaigns spearheaded by corporate empires and entities to sell their products easily reach out to the public today than ever before. However, the 21st century customers, investors and shareholders are equally aware of their basic rights, choices and especially how the products are being made. With the expansion of information and communication technologies (ICTs), sharing of knowledge and information has become easier and faster than how it used to percolate in the 18th and 19th centuries. Accordingly, its users have become smarter and trendier who now prioritize their demands and goals as effortlessly as they can. In an atmosphere like this wherein everything has become glocal, business houses need to be socially sensitive while performing their acts in public. Now there is no barrier between the customer, the shareholder and the owners of business apart from their individual stake in the trade. Information flow and sharing is in full public view. Hence, delivering business responsibilities as per the demands of the society has become a global norm. There is no exception to this rule. This is how CSR has come to the centre-stage of global business to keep the business running but of course in a socially accountable manner. It has to be like this as business entities are an integral part of society and they do business within the realm of the same. Hence, they are bound to address the social issues and offer solutions for the same.

The cynosure of global business today is social responsibility and sustainability. And in this growing spectrum of trade, what is adding more weightage is the growing consciousness of the International Non-Governmental Organizations (INGOs), Civil Society Organizations (CSOs), shareholder activism and actions driven by a host of millennials. This new activism can rightly be termed as a 'check or regulator' which helps the global trading enterprises to balance their profit and social responsibility in public square. Succinctly, the 20th and 21st century INGO and civil society activism have been driving and at times forcing the business houses to be more transparent and socially responsible in many parts of the world. The INGOs and CSOs turning the tide against authoritarian profit-making corporate governing boards into a more open and a pro-public dialogue-oriented forum in these days. At the top of all these forces, the minority shareholders are making a grand entry to the huge corporate empires challenging their age-old and hereditary top-down decision-making approach. Today they rightfully own their space in the top corporate boards and can easily force their agenda into them. So big business houses are becoming aware about their strong presence and hence they are accordingly taking their decisions so as to make the business more open and stake-holder friendly.

Besides, the growing millennials have made a maiden entry into the global business domain as a responsible actor. Today what they demand is a socially responsible and sustainable business. Interestingly, the millennials make a third of the working population of the globe, holding a high economic value. They have proved to be the most ethical and sustainability driven generation as of now. Recent studies indicate that the professionals coming from these strata are prioritizing practicality over profit. By being a product of the global information technology age, they are much more aware and concerned about the pitfalls of irresponsible business and its rapid expansion. Millennials shoppers are willing to spend more on products and services which are brought by socially and environmentally responsible brands. They truly value and highlight social and environmental ethics. Their footsteps are now followed by the Gen Z and hence, it is an alarming situation for the global business to be conscious about what, when, where, why and how they are manufacturing and offering their services to humanity.

A Nielson Global Survey on Corporate Social Responsibility says that 50 per cent of global consumers are even willing to pay more for socially responsible products. And also 64 per cent of the consumers are extremely likely to buy from a company that takes a stand on social issues. Thus, global business has become more accountable both to sustain and to make profit in this competitive world. Indeed, most of the business dialogues and research works in this area have started focusing on the inclusion of social responsibility issues over a period of fifty years so far. And all of them are either directly or indirectly stressing on its subthemes such as the green environment, ethics, rights and responsibilities, poverty and sustainable development.

Activity 1

Organize a discussion on 'How globalization has expanded and impacted international business? And then, list the advantages and disadvantages of the same.

....

....

....

....

....

7.2 CSR AND INTERNATIONAL BUSINESS

CSR and international business are closely integrated to each other. Since the 1960s, the very idea of CSR has gradually enveloped into the world of business. Many business houses have adopted it as a corporate strategy and some others have implemented it as a part of their philanthropic agenda. But ideally, their primary goal is to make their businesses more responsible and transparent in the process. From the 1990s, CSR has become a popular catchword in global business. Conceptually, its multi-dimensional and dynamic. Clearly, the rise of the very concept of CSR has coincided with a growing concern for the image of big, medium and small business enterprises. Its fast becoming a trendsetter for the business. The companies that have a worldwide presence started unfolding a new agenda of work to serve the society, especially for a common cause. Every business has a reason to continue but it is not always money or profit.

Why is it so? The truth behind is that all businesses depend on the resources that are available in society. They don't create resources rather they reshape, recreate and reproduce them for our immediate, medium and long-term consumptions. Here CSR upholds both the interests of society and business. Thus, it becomes the face of the company wherever it moves. In a way, any CSR programme of an enterprise addresses the concerns of three main pillars of business:

A. Employees

B. Customers/consumers

C. Society

When we talk about the choice of products by the millennials and conscious citizens around the world, all of them look for how, where and who have finally made them. Hence the CSR drives of a company matters so much in the global market that no business can afford to ignore it. 'Corporate responsibility remains a challenge to business and executives to do good, to do well and to do the right thing in the right way. It is a normative challenge, arguing that corporations should be responsible to society as a whole and to the segments of society with which each firm interacts i.e., its stakeholders' (Carroll eds: 2012). It demonstrates how business corporations can act as a part of society and why they should do it.

Today, population is increasing at an alarming rate worldwide. Equally distressing is the fact that global poor, unemployed, malnutrition, violence against women and children, war and conflict, pandemics, natural disasters, environmental pollution, economic downturn etc are also on the rise. On one hand, with the help of science, technology and communication, humanity is touching the pinnacles of glory. On the other hand, problems are multiplying and are affecting the whole planet, whether one is rich or poor. It is not that the business can solve or eradicate all the evils of society. But they can wink at them either. As businesses work around society and its people, it has a responsibility to address their woes. Therefore, the global business community needs to offer a helping hand to solve problems at local, national and international levels.

But while considering the importance of CSR in international business, it is worthwhile to see two of the most important perspectives on it. The first perspective is the classical one which considers social responsibility as incompatible with a free economy (Friedman 1962 and 1970). For Friedman, 'The only social responsibility of business is to maximise profit'. That's why he strongly argues that business exists to distribute products and services society. Thus, any business or enterprise can create economic value and generate profit for the shareholders. No business should look beyond profit maximization. For those who support the classical view, CSR and ethical questions in business takes a backseat.

Whereas the advocates of the modern view of CSR holds that business must think beyond shareholders interests. According to this view, no business should ignore its moral and ethical responsibilities towards society. It must be noted here that shareholders are not the sole element of any business. Business encompasses a wide range of elements. Therefore, global corporations must be accountable to the stakeholders at large.

Today, business is no longer viewed as a selfish endeavour of only profiteering. The societal perception of business has moved from sceptical to objective now. With globalization and post-globalization, the ability to connect, compete and collaborate has accentuated. A massive liberalization drive largely reduced the regulatory framework existed in many countries including India. The birth of the World Trade Organization (WTO) in 1995 and inclusion of China, the world's most populous nation into its orbit in 2001, had drastically changed the traditional contours of business at international level. The western trading corporations have come in sharp contest with the emerging business entities in Asia, particularly in China, India, South Korea, Japan etc. this has virtually redefined the business space for global conglomerates. But then, state control on the business has gradually come to an end. Rather some of the top MNCs of the world have become so powerful that they can easily control the national governments in many countries of the world. They have become reliable sources of employment. These businesses are indeed one of the biggest sources of revenue for national governments. Despite being big and powerful, the business corporations have propelled self-regulation on their own. Therefore, today society takes a positive view of business in many areas unlike before. And it demands responsible and ethical behaviour from the business enterprises.

It has been a long process-business and society linkage have come afresh. It's the responsibility of the business to reinforce the positive momentum to enhance the trust in the society.

At the end, global business demands expansion. This is possible only when the corporates earn trust and reputation in society. To move up to that ladder, a business house needs to maintain ethical standards accompanied by transparency in its production, distribution and marketing so as to reach its consumers. And today 21st century consumers are smart, upright and rights conscious. They look for those products where they identify sense and sensibility towards social causes and problems. Thus, the new brand of customers is aligned more with the cause than the product. So, their style, fashion, clothing and finally consumption come with responsibility. This strongly highlights the fact that performing social responsibilities by the business entities at international stage is not only for serving societal interests but also for the greater interests of the business conglomerates themselves. It is clear that performance of social responsibility must be a routine matter for a business corporation.

Even after much of the publicity and pressure, many of the businesses are reluctant to carry out their social initiatives. They are only into profit maximization by any means. This offers a negative impression to people in general. That's why some are really sceptical about the businesses standing and working for social and environmental concerns. But by neglecting social responsibilities, the MNCs are surely to dig their own graveyard. They will have to fight for their own survival and very soon consumers may lose trust on their acts and products.

Activity 2

List some of the prominent business organizations that have adopted CSR initiatives.

....

....

....

....

....

....

....

7.3 CSR AND SUSTAINABLE DEVELOPMENT GOALS (SDGs)

CSR and Sustainable Development are closely connected. And in this regard, the Sustainable Development Goals (SDGs) enunciated by the UN Secretary General Ban ki-Moon in the year 2015, are unleashing a new agenda to reach a new world of development. These goals are also known as 'Global Goals' that contain 17 interlinked goals. Notably, all of them are crafted in such a manner that they are made to be a 'shared blueprint for peace and prosperity for people and the planet, now and into the future'. They are intended to be achieved by the year 2030 as mandated by the UN General Assembly (UNGA) in 2015. Also, these goals are brought forth by a special UNGA resolution referred to as the Agenda 2030. On September 25, 2015, a total of 193 countries agreed and adopted this historic agenda. Clearly, the goals cover three primary dimensions of sustainable development: economic growth, environmental protection and social inclusion. These global goals for sustainable development can only be achieved only when the government, business, civil society and finally the public work together. Indeed, all of them need to share and deliver as per their roles in society.

These 17 SDGs areas are:

1. No poverty
2. Zero hunger
3. Good health and well-being
4. Quality education
5. Gender equality
6. Clean water and sanitation
7. Affordable and clean energy
8. Decent work and economic growth
9. Industry, innovation and infrastructure
10. Reduced inequalities
11. Sustainable cities and communities
12. Responsible consumption and production
13. Climate action
14. Life below water
15. Life on land
16. Peace, justice and strong institutions
17. Partnerships for the goals

Now, let's see how these goals are related to CSR in global business. Today our planet Earth is encountering massive economic, environmental and stark social challenges. No place on the planet is immune from all these catastrophic changes.

Activity 3

Identify one area from the SDGs and find out what kind of CSR activities are happening in your locality.

....

....

....

....

7.4 SDGs AND CSR IN INDIA

The SDGs and CSR initiatives in India are closely related to each other. The social responsibility of business dates back to ancient India when the powerful 'Shrenis' used to run parallel trade administration in many parts of the country. Now the SDGs, over the last 8 years have evolved to provide enough flexibility to both nations and their business houses to develop adequate action plans to achieve the goals earmarked in the Agenda 2030. In another 7-8 years, the major objectives set in the SDGs are supposed to be met.

India along with other 193 countries is a signatory to the declaration of Agenda 2030 to fulfill the sustainable development goals. Thus, Delhi adheres to the 17 loftiest goals set under the SDGs and 169 targets. In fact, the Government of India (GOI) has aligned the SDGs with its national development agenda so as to give them an added weightage in the process of implementation. In this way, the GOI has unleashed its various initiatives and policies in such a manner that it equally addresses the concerns listed in the SDGs. Clearly, without a close coordination between the GOI, business enterprises and more prominently, the CSOs, the SDGs can never be driven to success.

India is one of the few nations that set up a mandated CSR regime in the year 2013. This was done through the Section 135 on Corporate Social Responsibility (CSR) under the Companies Act 2013. This law tries to address various developmental concerns on the road to attain the SDGs. It has led to the establishment of a CSR fund that is solely utilized for mitigating social issues under the rubrics of CSR policy framework. Finally, the private companies are expected to identify and implement solution to major social problems that have emerged as a result of their operations across the country. Truly speaking, it directly brings home the idea that businesses need to share social responsibilities and advance solutions for problems evolved over the years.

As per the Act, all companies with a net worth of INR 500 crores or more or a turnover of INR 1000 crores or more or a net profit of INR 5 crores or more in a given financial year are required to spend 2 per cent of its average net profit from the last three years towards CSR activities listed in Schedule VII of the Act. With this regulation, the companies in India are initiating the following changes over the years:

A. At present a board level committee oversees CSR. As a result, this has helped the companies to shape CSR policies for strategic goals and not for philanthropic purposes.

B. Second, about top 100 companies of India are aligning their CSR goals with national priorities set by the GOI. For example, major national agendas such as health, cleanliness, safe drinking water are seriously prioritized by top business corporations.

C. Thirdly, major business enterprises have largely consolidated their projects so as to have a bigger impact on them. It clearly indicates that now enterprises are driven more towards result-oriented projects than scattering their man and material on non-seriousness.

D. Fourth, for the last few years, the companies are aligning with social sector players such as the NGOs to implement and solve CSR-related issues.

E. Finally, the mandated CSR regime has brought a new framework under which the companies are trying to come in terms with emerging social issues. And in fact, this has once again highlighted the accountability of businesses towards social issues.

It must be said here that even before the coming of the Companies Act 2013, many corporates like the Tatas, Birlas etc were performing their social responsibilities on their own. And many of these initiatives have highly benefitted the community and project affected people in the past. Therefore, such steps have also raised the ethical standard of many businesses leading them to become household names over the years. Today they are much more trusted and respected than many foreign brands which are operating and delivering services in the same and allied arenas in the country. Needless to say, that the Companies Act 2013 has made the CSR responsibilities mandatory and hence, many other companies which were not willing to contribute and work towards this, have largely come under the surveillance of the GOI.

Activity 4

List the major initiatives carried out by big corporations as per the mandates of the Companies Act 2013.

....

....

....

....

....

....

7.5 CORPORATE SOCIAL RESPONSIBILITY AND CONFLICT

Today conflict has become an integral part of every society. CSR can play a significant role in containing conflict and promoting harmony in all those war-ravaged zones. Business organizations either operate in conflict zones or they purposefully involve in such activities. The increasing instability in West Asia and major parts of Africa, precipitated by events like the Arab Spring and the subsequent rise of Islamic terror groups and civil wars, necessitates the global firms to be more cautious. Further, the current war between Russia and Ukraine and tensions rising over Taiwan involving major global powers pushing business enterprises to an era of uncertainty. But the local and some of the glocal businesses that are already operating in these conflict zones are struggling hard to sustain and serve their consumers.

How to promote business in conflict zones is a matter of great concern. According to the United Nations Global Compact Office, there are numerous activities the businesses that work in conflict areas can initiate to carry out their trade like:

- Undertake an extensive assessment of the needs and risks inherent in such areas of operation

- Resolve disputes within communities constructively and rapidly
- Adopt international best practices in relation to the hiring of security professionals
- Shun providing funds or assistance to the armed groups
- Avoid being complicit with human rights violators
- Prohibit participation in bribery and corrupt actions
- Consult and communicate with local communities
- Ensure that actions take into consideration the operating environment
- Promote collaboration with civil society and international organizations

As a result, a multitude of partnerships among and in between the governments, business groups, NGOs and community leaders have emerged in promoting business in these war-torn areas. And herein, CSR activities of various business organizations can have a sustained role addressing the social and environmental concerns of the locals and particularly the affected communities in these nations.

One of the most prominent cases of business promoting conflict is the infamous 'Blood Diamond or Conflict Diamond saga' in some countries of Africa. Conflict diamonds are generally in rough form which means that they have recently been extracted and not yet cut. According to the UN, the conflict or blood diamonds are those diamonds 'that originate from areas controlled by forces or factions opposed to legitimate and internationally recognised governments and are used to fund military action in opposition to those governments or in contravention of the decisions of the Security Council'. Civil wars in Sierra Leone, Zimbabwe etc wherein the rebels had largely used the diamond mines to fund their war efforts in the 1990s. And in this, thousands of men, woman and even children were used to extract raw diamonds from unsafe mines. 'They are often forced to use primitive, back-breaking methods such as digging into mud or gravel along riverbanks with their bare hands. The collected material is then separated using hand-held sieves' (Armstrong 2011). This indicates how cruelly people were exploited to fund wars leading to massive human rights violations for decades.

But then as a result of activism spearheaded by CSOs like Global Witness (London), finally the historic Kimberley Process began among the diamond producing nations in Kimberley, South Africa in May 2000. This meeting was convened to discuss the ways to stop the trade in blood diamonds. Also, the gathering addressed various concerns in regard to the funding of violence by the proceeds coming from these diamonds. Finally, an agreement was concluded by the UN, the European Union (EU), governments of 74 countries, the World Diamond Council and a number of CSOs like the Global Witness. This meeting has brought out a new scheme called Kimberley Process Certification Scheme (KPCS). All the signatories have to certify that diamonds that come from their countries are processed legitimately, and they are absolutely conflict free. For the last two decades, there have been ups and downs as some members are violating the basic norms of the KPCS, but the scheme is first of its kind to prevent blood diamonds around the world.

In hindsight, we can say that peace aids countries in achieving economic progress, whereas conflict tries to retard such efforts. It is true that huge roadblocks are there on the road to flourish in business in conflict zones, but many of the business models brought by companies have excelled nevertheless in war-ravaged nations such as Syria, Libya, Yemen, Sudan, South Sudan, Afghanistan, Iraq, Somalia, Columbia, Sri Lanka etc. there are many international NGOs, local CSOs, private sectors and governments have encouraged regular trading activities in all these troubled areas.

Activity 5

Identify the conflict zones around the world and number of companies operating in those places.

....

....

....

....

7.6 CORPORATE SOCIAL RESPONSIBILITY AND SOCIAL ACTIVISM

CSR and social activism are two sides of the same coin. Social activism in business has taken numerous forms. Some of the dominant forms of such activism are:

a. Consumer activism

b. CSO activism

c. Shareholder activism

d. Employee activism

Consumer activism is an idea in which a group of people lobby to encourage what they as consumers feel is appropriate behaviour for the business enterprises. It may be related to the nature of the product, how it is manufactured and sold etc. moreover, today's consumer is actively engaged in unearthing any other number of factors that might directly or indirectly affect the relations between the consumer and the producer. And in this, a new term called 'ethical consumerism' has gradually emerged across the globe. Ethical consumerism refers to a view that 'consumers can and should act out a range of ethical values and principles and seek any of a range of ethical objectives through how they spend their money in the market. It generally implies that purchasing decisions are a way of putting values into action' (Concise Encyclopaedia of Business Ethics). Ethical influences on consumer behaviour are indirectly acting as a form of social control over business. It is known by various names-conscience consumerism, ethical consumerism, the Green Consumer etc. At the end, the 21st century consumers are concerned about the CSR. And this influences their purchase and consumption behaviour over the years. Hence the companies are forced to be socially and environmentally responsible in their businesses. Consumer activism has become a growing threat to business reputation in parts of the world. It is time for the business community to pay heed to what the consumers say and demand from them.

Another form of social activism that directly affects business today is the organized pressure emerging from numerous civil society organizations (CSOs) around the world. It is regarded as the 'Third Force' of the society after the government and business. The CSOs have worked both closely and at times against the businesses so as to draw the attention of the issues concerning the public. Today some of the biggest economies are multinational companies not independent nations. It is all possible only for these businesses to work with the CSOs. Therefore, many of the global business giants are coming up to forcefully defend the civil or public space. This means numerous trading companies and business blocs vouch for freedom of citizens to organize, speak up and actively protest massive government failures and huge corruption scandals. At the same time, businesses are also facing big losses as global CSOs have been continuously campaigning against their exploitation of natural resources at the cost of public lives and the planet earth. There are many other issues such as human rights violation, labour lay off, pollution, business frauds, involvement in conflict, exploitation of natural resources etc are brought to light by the CSOs worldwide. Today business only can sustain if they act in a socially and environmentally responsible way. Else, the CSOs acting as the Third Force will certainly force them to quit the public square. Hence, increasingly, the global businesses have started to care for citizen actions and citizen assemblies.

Shareholder activism is an important part of global business today. It is an ideal way to influence the corporation's behaviour by exercising the rights of the shareholder. It must be said that these shareholders become partial owners of the business through their investment. These large group of institutional investors are termed as 'Universal Owner' by corporate governance activist Robert Monks (1994).Today, the shareholders have a big say both in internal and external policy making of the business.

Employee activism refers to collective or individual actions of employees who raise their voices for or against the employer. Such activists adopt various methods such as social media campaigns, walk-outs, strikes, mobilise co-workers through unions to generate support and make their actions visible. In this entire process, media-print, electronic and lastly, the social media can certainly play a robust role to highlight the issues and bring it to the notice of the general public. Frequently, this brings attention to aspects of the employee experience that are either harmful or unjust to them. One such example of employee activism is Google walkouts, a forceful response to absence of executive accountability in regard to rising cases of sexual harassment within the tech giant. But it must be said that not all employee activism has impeded growth or brought negative results to the company.

Why do employees' resort to activism? Generally, there are three main reasons behind this:

a. Either the employees are harassed, misbehaved or underpaid.

b. They want to express dissatisfaction or demand recognition for their work or for other reasons

c. They believe their top management can do much more for them and demand better outcome from the existing system

The best way to handle employee activism is to listen to them instead of shutting them down or outrightly rejecting their demands. If a particular group of employees create outrage, they can be handled separately, and it is advisable to investigate the causes and concerns behind such upheaval. If an enterprise has made mistakes and it has to do with the employers' shortcomings, it is better for the employer to apologise and move ahead. It is always better to repair the damage initially before it goes out of hand.

Activity 6

List a number of cases that involves activism in global business.

....

....

....

....

7.7 IS CSR A BIG FARCE?

CSR in totality is a business responsibility towards society. It is a part of business. More the business expands more the responsibility of the corporate. CSR is not also a time-bound activity. It's there in business as long as the corporation survives. But there are competing interests and divergent views about the very practice of CSR all around the world.

CSR is both a strategy and a goal. 'Most companies have long practiced some form of corporate social and environmental responsibility with the broad goal simply of contributing to the well-being of the communities and society they affect and on which they depend. But there is increasing pressure to address CSR as a business discipline and demand that every initiative deliver business results' (Rangan et al. 2015). In fact, this kind of an assumption is nothing but demanding too much from a CSR initiative. Instead, companies must focus on their primary goals and see to it that the policies are made in such a way that all of them are sensitive towards social and environmental issues.

For many, CSR is a big farce. It is not really helping the community. It is just a pretext for the companies to cover their potential profit motives and at times to hide major mishaps in operational designs like labour, maintenance, environmental, human rights, sexual abuse etc.

Therefore, a person like Professor Aneel Karnani strongly argues that 'the idea that companies have a responsibility to act in the public interest and will profit from doing so is fundamentally flawed' (Karnani, 2010). In reality, no business will sacrifice its profits and share holder interests just for a public cause. When globally it is trumpeted that multinational corporations are doing great to serve the society, but in reality, it is not true. However, such ideas and policies that are aimed at public causes generally attract lot of attention. Karnani advocates that it is just an illusion and a potentially dangerous one.

What is realised today is that coordinated support for major CSR programmes at the top layers of management is critical to their success. Ideally, the companies must have an executive who is solely responsible for all such initiatives. Yet hardly we find active cooperation between the CSR professional and the rest of the top managers of many companies. For all of them, CSR is still a philanthropic work. And it is just an eye wash.

Activity 7

Organize a dialogue or a debate on whether CSR is a reality or a farce. And note the arguments in favour and against.

....

....

....

....

....

7.8 SUMMARY

CSR in global business has been carried out for long. But today, with a myriad of institutions, government organizations and social actors have made it realise the corporate that they are bound to be responsive to social issues. Undoubtedly, these numerous business entities are no other than social organizations before becoming commercial enterprises. They are an integral part of our society. They do certainly earn and live within the four walls of the society. Hence, they all have a responsibility towards society. With the expansion of global business, its impact has largely affected various parts of the world. Today, emerging social actors, regulatory frameworks brought forth both by the government and other global agencies have either compelled or voluntarily pushed the businesses towards offering solutions to social problems. Nevertheless, some of the business corporations have been continuously serving the society at various levels even without having a mandatory CSR framework. Finally, CSR in global business has become a boon both for business and also for humanity.

7.9 KEYWORDS

Consumer activism : It is a term that describes a variety of disparate movements that seek to influence the behaviour of companies through activities ranging from providing information to boycotts, pickets, and litigation, with the aim of forcing companies to act in a way that benefits the perceived interests of consumers.

Employee activism : Employee activism is actions taken by workers to speak out for or against their employers on controversial issues that impact society.

Shareholder activism : Shareholder activism involves the efforts of the shareholders to bring about a desired change in the operations of the company or to influence the management in governing the company to protect the interest of the shareholders.

Civil Society Organizations (CSOs) : Non-State, not-for-profit, voluntary entities formed by people in the social sphere that are separate from the State and the market. CSOs represent a wide range of

		interests and ties. They can include community-based organizations as well as non-governmental organizations (NGOs).
Sustainable Development Goals (SDGs)	:	The Sustainable Development Goals (SDGs), also known as the Global Goals, were adopted by the United Nations in 2015 as a universal call to action to end poverty, protect the planet, and ensure that by 2030 all people enjoy peace and prosperity.

7.10 SELF-ASSESSMENT QUESTIONS

1. Why CSR is required in global business?
2. Discuss the importance and relevance of Sustainable Development Goals (SDGs).
3. Explain how SDGs and CSR are connected to each other.
4. Define Corporate Social Responsibility.
5. Elaborate different perspectives of CSR.
6. How can we draw the linkages between business ethics and CSR?

7.11 REFERENCES/FURTHER READINGS

Armstrong, Paul. What are Conflict Diamonds? CNN: (December 5, 2011). (https://edition.cnn.com/2011/12/05/world/africa/conflict-diamonds-explainer/index.html)

Bhattacharya, Jayanta (2007). Corporate Social Responsibility: Ethical and Strategic Choice, Asian Books, New Delhi.

Carroll, Archie B. et al. (2012) Corporate Responsibility: The American Experience, Cambridge University Press, Cambridge.

Crane, Andrew et al. (2008) The Oxford Handbook of Corporate Social Responsibility, Oxford University Press, New York.

Ethical Consumerism, Concise Encyclopaedia of Business Ethics (https://conciseencyclopaedia.org/entries-ethical consumerism/.

Fernando, A.C. ed. (2009). Corporate Ethics, Governance and Social Responsibility, Pearson, New Delhi.

Friedman, M. (1962) Capitalism and Freedom, University of Chicago Press, Chicago.

Friedman, M. (1972) 'A Friedman Doctrine-The Social Responsibility of Business is to increase its profit', The New York Times Magazine, pp 123-25.

Grawehr, Stephanie (2021). CSR Reporting Standards Every CSR Professional Should Know, https://alayaood.com/blog/csr-reporting/.

Hazarika, Anjana (2013). 'Ethical CSR-Competency, Community and Consumer Driven-an Indian Experience' in Saurabh Mittal and Anu Gupta ed. Corporate Social Responsibility & Sustainable Development, Enriched Publications, New Delhi.

Hazarika, Anjana (2015). 'History and Significance of CSR and Social Audit in Business: Setting a Regulatory Framework' in Mia Mahmudur Rahim and Samuel O. Idowu ed Social Audit Regulation, Springer, Switzerland.

Hazarika, Anjana (2020). Corporate Social Responsibility, Corporate Governance and Workplace Practices, Pentagon Press, New Delhi.

Hazarika, Anjana (2021). 'The Sreni- Drawing the Legacy of CSR in India' in Harpreet Kaur ed. Facets of Corporate Governance and Corporate Social Responsibility in India, Springer, Germany.

https://sdgs.un.org/goals

Jatana, Renu and Crowther (2008), David ed. Corporate Social Responsibility, Theory and Practices with Case Studies, Deep & Deep Publications, New Delhi.

Karnani, Aneel (2010). The Case Against Corporate Social Responsibility, The Wall Street Journal: August 23.

Khan, Shariff. What are Conflict Diamonds? https://www.petragems.com/blog/blood-and-conflict-diamonds/

Monks, Robert. Corporate Governance in the Twenty-First Century: A Preliminary Outline, The Corporate Library: https://www.lens-library.com.

Rangan, V. Kasturi (2015), Chase, Lisa and Sohel, Karim. The Truth about CSR, Harvard Business Review, Jan-Feb.

Sarkar, CR. (2005), Social Responsibility of Business Enterprises, New Century Publications, New Delhi.

Singh, Aman (2010). The Big CSR Debate: Is Responsible Capitalism a Farce? https://www.forbes.com.

UN Global Compact, https://www.unglobalcompact.org

What is Social Impact? A Primer for Business Owners, https://www.indeed.com/hire/c/info/social-impact

UNIT 8 BUSINESS ETHICS AND CSR : LINKAGES

Objectives

After reading this unit you should be able to:

- give an overview of business ethics and corporate social responsibility
- discuss different theoretical perspectives of business ethics
- examine the relation between business ethics and society

Structure

8.1 INTRODUCTION

Initially, companies were operating primarily for the profit of their owners. Few companies have recognized the need to combine their activities with ethics, and their obligations toward society or the environment. The importance of Business Ethics and Corporate Social Responsibility (CSR) are evident in business development. Over time, the views on the role of companies in socio-economic reality have become increasingly less relevant to the current socio-economic reality. There have been changes in the current socio-economic reality. Also there have been numerous changes in the sphere of modern business operations. Globalization and rapid technological changes have given rise to a completely new business environment. Under these new circumstances, the development of a modern company is determined not only by the effective use of resources and applying appropriate strategies but also by considering the concept of Corporate Social Responsibility and business ethics in management processes. Companies have adopted new approach to CSR:

- the concept of CSR is viewed as a business opportunity
- companies are accepting the role of other stakeholders such as investors, regulators, employees
- CSR is used as a strategic long-term approach

If a company wishes to be perceived as a reliable partner in business, it should implement elements of CSR. Also, companies are forced to maintain profitability and at the same time behave responsibly. This relates not only to global corporations but also to small and medium-size companies, operating in developed and developed countries and variety of sectors functioning within. To be regarded as ethical organizations companies should utilize different sets of instruments, like code of ethics, ethical values, and norms.

Activity 1

List few tools an ethical organization can utilize for management of the organization.

....

....

....

....

8.2 BUSINESS ETHICS

Ethics is derived from the Greek word ethos, meaning character or custom. Business ethics is the study of what constitutes right and wrong, or good and bad, human conduct in a business context. Some philosophers like to distinguish ethics from morality. According to them "morality" refers to human conduct and values and "ethics" refers to the study of those areas. "Ethics" denote an academic subject, but in everyday parlance we interchange "ethical" and "moral" to describe people we consider good and actions we consider good and right (Shaw, 1999). Ethics set standards pertaining to what is good or bad in organizational conduct and decision making. It deals with values that are a part of corporate culture and shapes decisions concerning social responsibility regarding the external environment. Ethics is concerned with how a person should behave morally, and the values are the inner judgements that determine how a person behaves. Values concern ethics when they pertain to beliefs about what is right and wrong.

Now, business ethics has a significant growth in organization. It comprises of all ethical issues that arise while doing business. It represents rules, standards, principles that provide guidance for ethically appropriate behavior in management decisions related to company operations. For companies, it is important that the strategies used in their operations are bound by the ethical standards of stakeholders.

The law that is defined for society establishes a minimum standard of behavior. Also, actions that are legal may not be ethical. Hence, simply obeying the law is not sufficient for ethical behavior. Organizational policies and procedures serve as specific guidelines for people or employees to make daily decisions. Finally, the moral stand that employees take when they encounter a situation is not governed by law or organizational policies and procedures. Rather a company's culture can either support or undermine its employees' concept of what constitutes ethical behavior. In daily dealings with stakeholders' business ethics constitutes the conduct for companies.

Activity 2

How an organization's internal process affects its Stakeholders?

....

....

……………………………………………………………………………………………

……………………………………………………………………………………………

……………………………………………………………………………………………

8.3 DIFFERENT PERSPECTIVES OF BUSINESS ETHICS

Business can be organized as partnerships or as different types of corporations such as family, not-for-profit, public holding company, and multinational. It is presumed that a moral corporation will avoid harm and will not impair the freedom of economic activity on which the system is based and will be fair in its transactions and will always live up to its contracts. Within these moral limits the different types of corporations will bring multiple benefits to society, such as production of goods for social cause, providing remunerative work to the members of the community in which it is situated payment of taxes for public needs and generating the investment needed for development and economic growth. Besides, business growing into a monopolistic power, the avoidable or preventable bad effects must be avoided: manufacture of possibly dangerous products, and toxic and polluting by-products and waste which harm the environment and unhealthy marketing practices to push through unwanted or unneeded products with the resulting social and emotional pollution, and the economic upheavals caused in a community dependent on the factory plants, when it is proposed to downgrade or close the plants.

An organization is a group of people working together to achieve a common purpose. The purpose may be to offer a product or service primarily for profit, as in business. But the purpose may be also education, as in any educational institute; public safety and order, as in law-enforcement organization.

Personal and Business Ethics

The intimacy between ethics in general and ethics as applied to business contexts implies that one's personal ethics cannot neatly be separated from one's organizational ethics. In fact, those who have studied and thought seriously about ethics in general and about their own values have a more useful basis for making moral decisions in an organizational setting than those who have studied and thought seriously about ethics in general and about their own values in particular have a more useful basis for making moral decisions in an organizational setting than those who have not.

If people within business and non-business organizations are sensitive to the ethical ramifications of their decision making, they must have moral standards. Moral standards are the basis of ethical conduct and differ significantly from non-moral standards.

Moral and Non-Moral standards

Moral standards concern behavior that is of consequence to human welfare. For instance, the conventional moral norms against lying, stealing, and murdering that can hurt people. And the moral principles influence human personality. Whether products are healthful or harmful, work conditions are safe or dangerous, personnel procedures biased or fair, privacy respected or invaded are matters that seriously affect human well-being. Hence, standards that govern conduct in these matters are moral standards.

Moral standards take priority over other standards, including self-interest. Essentially, moral standards are more important than other considerations in guiding human actions.The soundness of moral standards depends on the adequacy of the reasons that support or justify them. Legislators make laws, board of directors make organizational policy etc. In every case, some authoritative body is the ultimate validating source of the standards and can change the standards if it wishes.

Business Ethics and Professional Codes

Professional codes are the rules that are supposed to govern the conduct of members of a given profession. Generally, the members of a profession are understood to have agreed to abide by those rules as a condition of their engaging in that profession. Violation of the professional code may result in the disapproval of one's professional peers and, in serious cases, loss of one's license to practice that profession. Sometimes codes are not written and are part of the common understanding of members of a profession. These codes or some portions of them may be written down by an authoritative body so they may be better taught and more efficiently enforced. Again, these written rules are sometimes so vague and general that they are far from any value, and often they amount to more of a self-promotion by the organization. It is also true when industries or corporations publish statements of their ethical standards. But professional codes of ethics are neither a complete nor a reliable guide to one's moral obligation. First, not all the rules of a professional code are purely moral in character, and even when they are, the fact that a rule is officially enshrined as part of the code of a profession does not guarantee that it is a sound moral principle. Besides those parts of the codes that concern etiquette or financial matters, as an employee while joining the organization you agree, explicitly or implicitly to abide by those standards. These rules may not require morally impermissible conduct but consenting to them gives you moral obligation to follow them. Besides, living up to the standards of one's chosen profession is an important source of personal satisfaction. Still, one must be cautious in which professional standards or customary professional practice conflicts with the ordinary demands of morality.

As a professional, one must take seriously the codes of your profession, but at the same time you still have the responsibility to assess those rules for yourself.

Different Theories of Ethics

Egoism and ethical imperatives

Egoism associate's morality with self-interest. It contends that an act is morally right if it promotes an agent's long-term interests. Egoists use their best long -term advantage as the standard or measuring an action's rightness. If an action produces or intends to produce an individual a greater ratio of good than evil in the long run then that action is the right one to perform and the individual should take that course to be moral. This does not mean that other qualities like intelligence, courage, self-control, health, and other things are not good and desirable. But Kant a German philosopher believed that their goodness depends on the will and the intention to make use of them. For instance, intelligence is not good if used by an evil person. To Kant will is a unique human capacity to act from principle. When contained in the notion of good will is the concept of duty.

Kant (1788) deals with ethics in which he affirms the existence of an absolute moral law. i.e., the categorical imperative whose focus is reason. His writings emphasized on commitment for human freedom, dignity of the human being, and to the view that moral obligation derives from reason, sought moral principles that do not rest on contingencies and that define actions as inherently right or wrong apart from any circumstances. According to Kant will is a unique human capacity to act with principle and contained in the notion of will is the concept of duty. That is why when one acts from the perspective of duty then his actions have moral worth. When one acts out of feeling, inclination, or self-interest then such actions have no moral worth.

Kant calls the basic moral principle as categorical imperative against which human beings can measure their actions. It is a command imperative that holds with no exceptions or qualifications. Kant believed that reason alone can yield a moral law.We need not rely on empirical evidence relating to consequences and to similar situations. For Kant, an absolute moral truth must be logically consistent, free from internal contradictions. He believed that there is just one command imperative that is categorical- that is necessarily binding on all rational human beings. One should act in such a way that he or she can do the maximum from the action to become a universal law.

So, the basic question is what makes a moral act right? An act is morally right if and only when we can follow universal law of conduct. By "maxim", Kant meant the subjective principle of an action, the principle (or rule) people in effect formulate in determining their conduct. Kant argues that the morality of any maxim depends on whether if one can logically follow universal law. Rational laws are supposed to hold universally, without exception. He illustrates the moral law with four examples: suicide, a false promise, developing one's talents and helping others in need. Suppose if everyone indulges in false promising, interests of the first man to make the rule (false promising as a universal law) would suffer, and thus self- contradiction would creep in.

Kant's basic moral principle states that actions are morally defensible to the extent that they respect the freedom, dignity, and autonomy of people. He considered the rational nature of the human personality and provided another basic guideline to the effect that the principle of our action must be able to be applied universally and be free from internal contradictions and inconsistencies. Hence, for an action or a principle to be moral, three criteria must be fulfilled: it must be possible for it to be made universal. It must respect rational beings as ends in themselves and lastly, it must demonstrate its respect for the autonomy of rational beings.

In an organizational context Kant's moral perspective has the following applications:

First, Kant stressed on firm rules to follow in moral decision making that do not depend on circumstances or results and do not permit individual exceptions. No matter what the consequences may be or who does it, some actions are always wrong.

Second, Kant introduces an important humanistic dimension into business decisions. Due to overwhelming presence of technology people are dehumanized. Organizational decision making is based on human efficiency. In organization human beings are involved to provide goods and services to other human beings, and this is the essential function of business.

Third, Kant stresses the importance of motivation and of acting on principle. It is not enough to do the right thing. An action has moral worth when it is done as a sense of duty.

Criticism of Kantian Ethics

Kant was too extreme on moral worth of actions. According to him if an action is motivated by self-interest, then it does not have moral worth. If the action is motivated by duty, then only it has moral worth.

Kant stressed that a moral rule must function without exception. Several critics wonder why the prohibitions against such actions as lying, promise breaking, suicide, and so on must be exception.

The American philosopher John Rawls proposed a theory of justice. He developed qualified egalitarian justice, using the Kantian technique. It attempts to find principles of distributive justice acceptable to all rational persons. These principles are universal and rationally acceptable to all. His argument is that valid principles of justice could be agreed on if people could meet for this purpose outside the influence of any society.

Two principles of justices are

- Each person is to have an equal right in the most extensive basic liberty compatible with similar liberty for others.
- Social and Economic inequalities are so arranged that they are both, reasonably expected to be to everyone's advantage and these are attached to positions and offices which are open to all.

The first principle guarantees the equal liberty of each person, to the fullest extent possible, compatible with the same liberty for everyone else.

Freedom is most vital for individuals to achieve their ends. Respect for freedom means respect for persons. The first principle fulfills the requirements of the moral law and whether it is morally justifiable and hence would be accepted by all. Equality before law and equality of political freedom are supported by this principle.

The second principle of distributive justice became problematic. This principle requires equality of opportunity and makes positions and offices accessible to all. This is acceptable, but when it states that inequalities of wealth and prestige are acceptable to all, provided the inequalities are seen to be to everyone's advantage then it becomes problematic.

Criticisms

First, if there is equality of opportunity, there is injustice from competition, some benefit because of their skill, work. They deserve more than others. The disadvantages obtain some more benefits because of their work. This should not be related to the enterprise of the former group. The second, and contrary argument is that the inequalities is so great that it may become unjust. The rich will get richer, whereas the very poor may get slightly less poor. This is unacceptable.

Utilitarianism

Utilitarianism holds that an action is right if it produces or can tend to produce the greatest amount of good for the greatest number of people affected by the action.

Early thinkers like, Jeremy Bentham and John Stuart Mill developed this theory explicitly. According to Bentham, the interests of the community are the sum of the interests in members. An action promotes the interests of an individual when it adds to the individual's pleasure or diminishes the person's pain. He argued for the utilitarian principle that actions are right if they promote the greatest human good, wrong if they do not. For Bentham pleasure and pain are merely types of sensations, which differs in number, intensity, and duration. He offered a hedonistic calculus of six criteria for evaluating pleasure and pain exclusively by their quantitative differences. This perspective makes possible an objective determination of the morality of anyone's conduct, individual or collective, on any occasion.

John Stuart Mill thought Bentham's concept of pleasure was too simple. He viewed human beings as having elevated faculties that allow them to pursue various kinds of pleasure. The pleasures of the intellect and imagination, have a higher value than those of mere sensation. For Mill the utility principle allows consideration of the relative quality of pleasure and pain. Although Mill and Bentham had different views of pleasure, but both identified pleasure and happiness and considered pleasure as the ultimate value.

In a business context, Utilitarianism provides a clear basis for formulating and testing policies. By utilitarian standards, an organizational policy, decision, or action is good if it promotes the general welfare more than any other alternative. A policy is considered as wrong if does not promote total utility as well as some alternative would.

- It does not accept rules, policies, or principles blindly. Instead, these rules, policies, or principles should be tested for their worth against the standard of utility.
- It provides an objective and attractive way of resolving conflicts of self-interest.
- It is flexible and provides a result-oriented approach to moral decision making.

Criticisms

Utilitarianism supports maximum happiness, but it may be very uncertain about the alternative course of action.

Comparing one's happiness or unhappiness with others is very tricky, at worst when to many people are involved, the matter may get very complicated.

Utilitarianism focuses on the results of the action, not on the quality of the action and no actions are objectionable. It is objectionable only when it leads to lesser amount of total good. By contrast, some actions can be immoral and thus things we must not do, even if dong them would maximize happiness.

Some criticized utilitarianism as morally blind for not permitting, but requiring, immortal actions to maximize happiness.

8.4 CORPORATE SOCIAL RESPONSIBILITY

Corporate Social Responsibility is a combination of economic, legal. and ethical responsibilities. It is an integration of corporate activities abiding by the legal regulations and going beyond compliance and investing in human capital, environment, and the relations with stakeholders as the business pursuit of sustainable development and focus on economic, social, and environmental aspects. As it is primarily concerned about the environmental protection, wellbeing of employees, the community and civil society in general.

Companies with a strategic outlook do CSR in such a manner that it is reflected in their positive financial performance. Stakeholders like Governments and customers are demanding more responsible behavior from the corporations. Corporations' relationship with its key stakeholders- such as customers, investors, suppliers, public and governmental officials, activists, and communities is crucial to its success as its ability to respond to competitive conditions about corporate social responsibility. To fulfill these requirements, organizations integrate CSR as part of their business, mission statement, human resources strategies, laws relating to environment, norms, and values as well as organizational culture to satisfy customers and other entities. CSR has both an ethical and as well as business component. Issues of CSR include fair wages, working hours and conditions, health care, protection against arbitrary dismissal.

8.5 CSR AND BUSINESS ETHICS – DRAWING THE LINKAGES

It is a responsibility for the corporate houses to communicate to its employees all about the established ethical practices. Further, these policies could well be regarded as the foundation of trust in bringing all the employees together. Ethical principles in business are not simply to control trade endeavors and personal acts, but they can easily contribute to lessen liability in the business. They all consist of inbuilt organizational promises related to performances against already existing benchmarks whether they are inspirational or disciplinary in form. As they are inherently concerned with ethical narratives and policies, they may very well generate legitimate dissent among those who normally do not accede to the standard performance parameters of the enterprise.

Those who lead the business must understand that both ethics and policies pertaining to integrity are nothing but a crucial mouthpiece of their enterprises. Thus, leaders in the organization should demonstrate ethical decisions while forcing their employees to do so. Further, the heads of businesses are the ones who decide the course of action for respective organizations. If they spearhead profit motives, then their employees veer around the same mindset and work towards the same goals. Again, offering a comprehensive training both to staff and superior management is difficult at times. And such a framework may collude with enormous practical difficulties bearing long term disadvantages for an organization. Both the CSR and business ethics are almost same and one can argue that ethics are a part of the CSR or vice versa. But it must be made clear that the very idea of work ethics and social responsibility are different from each other though they often used to refer to the same symbol.

Though it is more of a contested terrain, still many scholars in business interpret ethics as having deep relationship with CSR. The philosophical roots of the Normative Stakeholder Theory of CSR lie in ethics. It entails that all businesses are morally bound to look after the larger interests of various stakeholders. And all of them broadly include the employees, owners, vendors, customers and the most inseparable community apart from its stakeholders only. Therefore, a socially responsible business firm maintains a close relationship with all the stakeholders mentioned above. This binds them to project and measure their economic, environmental, and social responsibility aspects very cautiously. Above all, any business tries to promote all the above aspects, but not at the cost of others by reminding those stakeholders are there at the heart of business ethics and CSR.

Ethics issues and CSR

Ethical issues remain specific to industry, business's policy making and management, community, locality and country. These issues and problems vary from company to company. Some of the most prominent ethical dilemmas encountered by the business organizations are prevention of child labour, checking discrimination on the basis of race, caste, ethnicity, culture, maintaining safety at workplace, legal responsibilities under the law of the land etc. In the age of globalization and post-globalization, some other emerging issues fast galloping the business world are cybercrime, violation of privacy, bribery, fraud and fake reimbursements. At this juncture, these dilemmas are widely threatening the regular functioning of the business enterprises.

Different business scholars have categorized them differently:

Oster (2017), brought forth four classifications:

a. Trust (integrity and treating customer fairly);

b. Diversity in recruitment;

c. Management of business teams which are diverse in nationality, gender, culture and color;

d. Decision-making issues and compliance and governance issue.

Bernstein (2016) divided the ethical issues into five types:

a. social networking,

b. surveillance and privacy,

c. transparency,

d. child labour and

e. environment protection.

Responsibility and Environmental Protection

Today, the deteriorating environmental conditions are fast becoming a major threat to both business and human survival. But the fact is that it's the expansion of industries that have directly contributed to the degradation of our environment. The rise of global warming is credited to pollution, deforestation and massive exploitation of fossil fuels around the world. Truly, the rapid degradation of the health of the planet Earth can't be separated from the unplanned and unethical business practices adopted by many business leaders of the globe. It is clear that human greed has finally led to irreversible disasters in many countries. Overconsumption of the natural resources is bringing serious impact on the environment.

Environmental pollution is another threat to business. This pollution can be physical, biological and chemical. And it is harmful when the pollutants are present in high degree. When bio-geological changes like volcanic eruption, earthquake and cyclonic storms occur, its pollution impact on the atmosphere and the human life is much more complicated than any other elements. However, it has been observed that the release of the man-made substances in the environment make the world most unsafe. Hence, prevention of harm by pollutants means analyzing the degree of harm, its nature, and the means which can be adopted to prevent it.

Extractive industries such as mining and manufacturing sectors have become a potential threat not only to the working class and the project affected people, but also for the business as well. We draw nearly 90 percent of the oxygen from the seas and today they are polluted by mass scale of industrialization. When effluents from industries are released into the water bodies and especially to the oceans, the marine ecosystem is severely damaged. In fact, the recent UN reports say that carbon emissions from human activity directly leads to ocean warming, oxygen loss in the atmosphere and large acidification around the world. Moreover, ocean is the home to our biodiversity. What directly affects by pollution in the sea is livelihood of about 3 billion people who are surviving on it.

Another worsening challenge is emerging from fertilizers, pesticides and herbicides that are constantly used in farming. Disposal of toxic and non-bio-degradable wastes has added yet another important ethical dimension to the problem. The air pollution (mainly from cars) caused by the automobile sector mainly comes from three sources: particular matter, carbon monoxide (CO) and nitrogen dioxide (NO2). Thus, emissions from cars contribute to the rise of carbon dioxide and other greenhouse gases in the atmosphere. Burgeoning population accompanied by the use of vehicles need a deeper analysis as they are adding woes to the already troubled health of the planet. There is no uniform solution to all these pressing issues. For example, a simpler way to control the number of cars is to bring new law to curb buying more cars or may be by imposing hefty taxes. It could be so that advanced standards of pollution control may lead to the rise of car prices. Such measures can resist the temptation of some people to buy more than at least one car or probably no car. Thus, we can restrict the number of buyers, drivers and manufacturers on the long run. It is time to decide how much we are ready to pay for breathing clean air. We must understand that we can’t have the luxury of having more cars and also having cleaner air at the same time. Truly, no one-the buyers, manufacturers, the suppliers and the drivers are intending to unleash harm to anyone of them. However, the cumulative actions brought by all of them at the height of 21st century consumerism have been creating an unwelcoming environment, posing danger both to humanity and to the environment at the moment.

Precisely, each country has its own set of standards to regulate pollution control, emanating both from automobiles and other extracting industries. However, it is a matter of public policy choice of any national government how to control environmental pollution. While setting the regulatory framework, the Government must understand that both the buyers and the manufacturers are the citizens of the same country. And they all have their freedom to exercise their basic rights for earning their own livelihoods. Hence, it would be unethical on the part of the Government to impose a standard on the manufacturer and the customer so that they are not willing to accept the deal. Also, the business should not be pushed to a disadvantageous position that it loses its relevance in front of its rivals in a competitive world. And at the same time, the customers must get a good deal both to fulfil their desires and also to contribute to a cleaner environment. The bottom line is that ethical and social responsibilities are respected.

Preserving the environment

It is wiser to prevent or minimize pollution to save the environment. With the advancement of new avenues in science and technology, we need to employ devices so as to save maximum energy. It is learnt that architecture can play a significant role in conserving energy and material resources. Therefore, it is the social responsibility of the business to interact, debate and finally fulfill the promises they have made to save the environment. Profit making in business must be accompanied by a strong sense of social responsibility.

Responsibility and Consumer Safety

While manufacturing, the companies must ensure environmental protection. It is well-understood today that minimizing the risks both to the environment and people are an essential part of the modern corporate business responsibility. At the same time, people are open to accept certain degree of risks for bringing comforts to their lives. For example, when we agree to mining, quarrying, or cutting timber, manufacturing, producing electricity etc. we start taking risk of our environment. In the same manner, while driving and flying, we are ready to accept all the risks. But in all these cases, we expect that the products that we are using are safe, durable and we start trusting the manufacturer. It's a mutual aspect of reliability wherein both the customer and the company are aligned.

Responsibility and Product safety

Business has the responsibility to understand and cater to the needs of the consumers. It emanates from the very fact that consumers are solely dependent on the business for their needs. It has been observed that the degree of such dependence intensifies in today's society wherein information, communication and technology (ICT) rules the roost of daily lives. These societies are characterized by high levels of mechanization, specialization and urban concentration.

Business's responsibility for understanding and providing consumer needs derives from the fact that citizen -consumers are completely dependent on business to satisfy their needs. This dependence is particularly true in a highly technological society, characterized by intense specialization, mechanization, and urban concentration. This dependence of consumers on business for survival and enrichment has heightened business's responsibility.

The doctrine of strict product liability holds that the manufacturer of a product has legal responsibilities to compensate the user of that product for injuries suffered because of the product's defective condition, even though the manufacturer has not been negligent in permitting that defect to occur. But strict liability is not absolute liability. The manufacturer is not responsible for any injury whatsoever that might befall the consumer. The product must be defective, and the consumer has the responsibility to exercise care. Strict product liability is not without critics. They contend that the doctrine is unfair. If a firm exercised due care and taken reasonable precautions to avoid or eliminate foreseeable dangerous defects, they argue, then it should not be held liable for defects that are not its fault. For defects that happen despite efforts to guard against them.

Despite the public benefits of safety regulations, worry is about the economic costs. Safety regulations may also prevent individuals from choosing to purchase a riskier though less expensive product. Economist may object to the inefficiencies of preventing individuals from balancing safety against price.

Responsibilities of business and consumer safety

The exact nature of those responsibilities is difficult to specify in general because much depends on the particular product or service being provided. But by following steps would do much to help business behave morally with respect to consumer safety.

Business should give safety the priority. Business often base safety considerations strictly on cost, if the margin of safety can be increased without significantly affecting the budgetary considerations. Cost cannot be ignored, but other factors are equally important. One is the seriousness of the injury that the product may cause, and the other is to consider the frequency of occurrence.

Business should give up the misconception that accidents occur exclusively because of product misuse and that is why it is absolved of all responsibility. Bottom line is that the company shares responsibility for product safety with the consumer. Rather than insisting that consumers' abuse of product leads to accidents and injuries, firms would probably accomplish more by carefully pointing out how their products can be used safely. Both manufacturers and retailers have an obligation to try to anticipate and minimize the ways their products can cause harm, whether those products are misused. If a product poses a serious potential threat, a company may need to take extraordinary measures to ensure continued safe use of it. Sometimes a firm's moral responsibility for ensuring safety doesn't reach much beyond the sale of the product. Other times it may extend beyond that.

Business must monitor the manufacturing process itself. Firms fail to control the manufacturing process, resulting in product defects. Companies should periodically review working conditions and the competence of key personnel. For production, companies can select certified materials. Questions also arise when companies do not make use of research available about product safety. If none is available, a company can generate its own. Testing should be rigorous and simulate the toughest conditions. Tests shouldn't assume that the product will be used in just the way the manufacture intends it to be used. Even established products should be tested.

When a product is ready to be marketed, companies should have their product-safety staff review their market strategy and advertising for potential safety problems. This is essential because both product positioning and advertising influence how a product is used, which in turn affects the likelihood of safety problems.

When the product reaches the market, corporations should make available to consumers written information about the product's performance. Information should include operating instructions, the product's safety features, conditions that will cause it to fail, a complete list of ways the product can be used.

Companies should respect the rights and investigate consumer complaints. This encourages companies to deal fairly with consumers and to use the most effective source of product improvement.

Responsibility and Workplace Challenges

Working conditions: In wider context, the conditions under which people work include personnel policies and procedures, as well as the extent to which an organization is committed to respecting the rights and privacy of employees.

Responsibility of Health and safety of the employees

Employees have a right to work in a safe and healthy working condition. Employees have a legal right to refuse work when it exposes them to imminent danger and their employers are forbidden to reprimand or otherwise retaliate against them for doing so. In the United States of America Supreme Court made this clear when it upheld a lower court ruling in favor of two employees of the Whirlpool Corporation who had refused to follow their senior's order to undertake maintenance activities, they considered unsafe (Shaw, p.253). Number of states in America requires companies to inform workers in writing of any life-threatening hazards, employees are often unaware of the dangers they face, many of which may be long-term, rather than imminent, hazards for workers – in particular, the chemical toxins that are indispensable to the maintenance of computer chips. Despite legislations, the scope of occupational hazards remains awesome and unrecognized.

Management styles

Managers can do more to diminish the ills of work environment. Employees rank honest company's communications, personal recognition, and respectful treatment as more important than even good salary. But many employees suffer from their bosses who are very abusive, dishonest, manipulative, and inhumane.

Moral Problems are inevitable in a workplace when managers routinize their leadership style, regardless of the idiosyncrasies of their employees. For instance, some employees at whatever level respond to and need little managerial orchestration, others need and want close supervision. When managers ignore these individual differences, they overlook people's needs and risk creating a work atmosphere that's distressing to workers and less productive than it might be. If these problems are to be avoided it seems that managers must carefully examine their preconceptions and choose a style of leadership suited to the needs, abilities, and predilections of those in their charge.

Day care and Maternity leave

Women continue to bear the primary responsibility for child rearing, their increasing participation in the paid work force represents a growing demand for reasonable maternity-leave policies and affordable child-care services. Many families are unable to make satisfactory child-care arrangements; either because the services are unavailable or for the simple reason that the parents cannot afford them. The need for child-care services is particularly acute among single-parent families which were headed by women. Single mother has higher rate of participation in the labor than do married mothers. And many of them are not capable to pay for satisfactory child-care services. Very few companies do much to help with employee child-care. Employers can provide day- care services, but not all feel obligated to offer these services. From a broader perspective day care arrangements set up by companies or by several companies together in the same area are socially cost-effective. With in -house day-care arrangements parents need make special trips to pick up and deposit their children.

Some business scholars have argued that offering childcare as a fringe benefit and dealing as flexibly as possible with employee's family needs can prove advantageous for most employees.

8.6 SUMMARY

Business ethics and CSR are intertwined. CSR is not just about initiatives. Corporations' responsibility towards its stakeholders is tantamount to being ethical. It requires responsibility on the part of business to understand and cater to the needs of the employees, consumers, suppliers and investors. It emanates from the very fact that consumers are solely dependent on the business for their needs. Business too depends on consumers and other stakeholders. It has been observed that the degree of such dependence intensifies today wherein information, communication, and technology rules the roost of daily lives. These societies are characterized by high levels of mechanization, specialization and corporations needs to ethically connect to its stakeholders to be part of these processes.

8.7 KEYWORDS

Business Ethics : These are the moral principles that act as guidelines for the way a business conducts itself and its transactions.

Corporate Social Responsibility : Corporate social responsibility is a way of describing how companies measure and control their impact on society.

Utilitarianism : It is an ethical theory that determines right from wrong by focusing on outcomes. It is a form of consequentialism.

Professional codes : These are the rules that are supposed to govern the conduct of members of a given profession.

Doctrine of Strict Product Liability : It states that a manufacturer or distributor of a defective product will owe an injured person compensation even if the defendant took reasonable steps to prevent the defect.

8.8 SELF-ASSESSMENT QUESTIONS

1. Draw out the benefits of companies with ethical code of conduct and CSR.
2. Why responsibility to its stakeholders is the fundamental principle of business ethics and corporate social responsibility?
3. How organizations with a strategic outlook do CSR in such a manner that it is reflected in their positive financial performance?
4. What are the prime strategies of companies used in their operations and how are these strategies bound by ethical standards?
5. Why business activities like mining, manufacturing have become a concern not only on those who are affected by such activities but business as well?

8.9 REFERENCES/FURTHER READINGS

Gheraia. Z, Sawssan S, Hanane,A.A (2019) Business Ethics and Corporate Social Responsibility: Bridging the concepts. Open Journal of Business and Management.

Kenneth Goodpaster and John B Mathews, Jr. "Can a corporation have a Conscience?" Harvard Business Review 60 (January- February 1982) 132-141

Krugman, Paul (1994) The Age of Diminished Expectation-US Economic Policy in the 1990s, Cambridge, Massachusetts: MIT Press, .13

Peter Singer, ed., A Companion to Ethics (Cambridge, Mass: Blackwell ,1991)

Christina Hoff Sommers, ed., Character and Conduct, 2nd ed (Belmont, Calif.: Wadsworth,1995)

Bowen, Howard R. (1953) Social Responsibilities of the Businessman. New York: Harper & Row.

Clark, J.M.(1939). Social Control of Business. New York: McGraw-Hill

Davis, Keith, (1960) 'Can Business Afford to Ignore Social Responsibilities?' California Management Review,2, spring: 70-6.